Cholamandalam Financial Holdings Ltd. (CHOLAHLDNG)

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Call: Aug 2022

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(Formerly known as TI Financial Holdings Limited)
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August 18, 202 2
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Listing Department
National Stock Exchange of India Ltd
Exchange Plaza, 5th Floor
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Bandra -Kurla Complex
Bandra (E)
Mumbai 400 051

Symbol : CHOLAHLDNG
The Secretary
BSE Limited,
25th Floor, Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai 400 001

Scrip Code : 504973

Dear Sir / Madam,
Sub: Intimation under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (‘the Listing Regulations’)
This is f urther to our letter dated 8th August, 2022 on the schedule of Analyst/ Investor meet. Pursuant to Regulation 30 of the SEBI Listing Regulations, 2015, we wish to inform you that the transcript of the call held with analysts and investors on Thursday, August 11, 2022 is made available on the Company’s website at http://www.cholafhl.com/investormeet .
We request you to take the above on record.
Thanking you,
Yours faithfully,

for Cholamandalam Financial Holdings Limited

E Krithika
Company Secretary

Encl: As above

“Cholamandalam Financial Holdings Limited
Q1 FY202 3 Earnings Conference Call ”

August 11, 2022

ANALYST : MR. PRITESH BUMB– DAM CAPITAL ADVISORS
LIMITED

MANAGEMENT : MR SRIDHARAN RANGARAJAN – DIRECTOR -
CHOLAMANDALAM FINANCIAL HOLDINGS LIMITED
MR. N. GANESH - MANAGER & CHIEF FINANCIAL
OFFICER - CHOLAMANDALAM FINANCIAL
HOLDINGS LIMITED
MR. V. SURYANARAYANAN – MANAGING
DIRECTOR - CHOLA MS
MR. S. VENUGOPALAN – CHIEF FINANCIAL
OFFICER - CHOLA MS

 Moderator : Ladies and gentlemen, good day a nd welcom e to the Q1 FY2023 Earnings Conference Call of Cholamandalam Financial Holdings Limited hosted by DAM Capital Advisors Limited . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask qu estions a fter the presentation concludes. Shoul d you need assistance during this conference call, please signal an operator by pressing '*' then '0' on your touchtone telephone. Please note that this conference is being recorded. I now hand the conference over to M r. Pritesh Bumb from DAM Capital Advisors . Thank you and over to you, Sir!

Pritesh Bumb : Thank you, Roshan. Good afternoon, everyo ne. We on behalf of DAM Capital would like to welcome the management of Cholamandalam Financial Holdings Limited . Tod ay, we have with us, Mr. Sridharan Rangarajan, Director and Mr. N. Ganesh, Manager and CFO of Cholamandalam Financial Holdings, along with Mr. V. Suryanarayanan, MD and Mr. S. Venugopalan, CFO of Chola MS. Now without further ado , we will hand over the cal l to Mr. Sridharan for his opening remarks. Thank you and over to you, Sir!

Sridharan Rangarajan : Thank you. Good morning to all of you and hopefully every one is safe, your famil y is fine and kindly take care. So, just a few initial remarks . As you know th at it is a consolidation of Chola Finance and Chola Insurance at the Chola Financial Holding level and to start with, I think the consolidated results consist of Cholamandalam Investment and Finance Company and Chola MS General Insurance as subsidiaries and Chol a MS Risk as JV . The total in come for the quarter ended June 2022 increased by 10% to Rs.3963 Crores while profit after tax increased by 63% to Rs.582 Crores , primarily due to reduction in impairment charges on loans. On a standalone basis, total inc ome for the quart er end ed June 2 022 is Rs.2.10 Crores as against Rs.2.12 Crores in the corresponding quarter of the prior year. Loss for the quarter ended June 2022 is Rs.0.26 Crores as against Rs.0.93 Crores in the corresponding quarter of the previous ye ar.

Cholamandala m Inves tment Finance Company is well covered, and you h ave all the required details in the presentation as well as in the earnings call .

I will move to Cholamandalam MS General Insurance . Q1 FY2023 witnessed an industry growth of 22.3% and the private sec tor grew by 33%. Chola MS registered a GWP of Rs.1292 Crores in Q1 FY2023 with an increase of 43.3% over the prior year driven by growth across products, channels , and partne rs.

The previous year slower growth was also due to the lock down situation in Q1 of last year. Mot or representing 61% of the portfolio grew by 35%, c ommercial representing 17% of the portfolio grew by 44% and health accident travel representing 11% of the

 portfolio grew by 67%. Within motor, two-wheeler and the passeng er car share has gone up to 22% an d 32% respectively compared to 20% and 29% last year, and commercial vehicle has come down from 51% to 46%. Volume from new channels, new verticals, OEM and financial channels had a very good growth.

The company is cont

inu ing to maintain i ts leade rship pos ition in Tamil Nadu and Chhattisgarh and bettering its performance in Andhra and Telangana . Chola MS is one of the leaders in the compromise settlement and can save more than 50% level in terms of average severity comparin g court award cas es. RBI has in creased the repo rate continuously, which resulted in substantial improvement in the yield for the fresh investment deployment; however, the MTM value of the existing book is negative and hence the re will less opportunity for profit booking from sale of debt securities in this year. The company's long -term policies ' growth was mor e and as per the IRDA direction , the company needed to upfront expense the entire acquisition cost impacting the profitability . However, the earnings on such long-term policies comes over the long - term period creating an embedded value in the balance sheet as the cost s are absorbed fully upfront . With this, I will open for Q&A and we will take your questions .

Moderator : Thank you very much, Sir. Ladies and gentlemen, we will now begin the question -and- answer session. Our first question is from the line of Devansh Nigotia from SIMPL . Please go ahead.

Devansh Nigotia : Thanks for the opport unity. Sir, I just have a couple of questions. One is, again , when we look at our operating expenses as a percentage of net return premium , it continues to stay elevated, the run rate was around 41% of net return premium and when we compare it against Lomb ard that is around 32% to 33% against Alliance that is 28% and agai nst Royal Sundar am that is 25% . So, I am just trying to understand even for us, two years before we used to do around 32% to 33% of net return premium as the operating expenses . So, this sh arp jump even in Q1 when our prepaid expenses have been absorbed , this run rate is still at very elevated level . So, if you can just give a perspective of where we are doing these investments that would be really helpful?

Suryanarayanan V : First, let m e explain in relation to the past, since you mentioned about our own p ast ratios , our past ratios of ye steryears were when we absorbed the cost spread over the period of the policies . As you are aware , last year IRDA directed us to absorb the costs upfront and we are following the revised method effective April 2022 . So, our own numbers of the past that you are mentioning are not comparable to our rates of last year or the rates of this year . Second ly, as I have mentioned even in the earlier call s, strict comparison with the industry players may not be appropriate considering that many of

 them have a larger proportion of crop business or employer /employee group health business and government health business . All these businesses are either on tender basis or because of the inher ent high loss ratios that these businesses have , they have very l ow acquisition cost , as in the case of group health employer /employee. T his proportion is high for many players in the competition . For us, our presence in all the segments that I have mentioned is very marginal and even in the group health employer /employ ee, our total volume in quarter one was only about Rs.36 Crores out of the Rs.1290 Crores of GWP volume s. So therefore, we do not have the ad vantage w ith res pect t o the cost to GWP or NWP as others may have .

Devansh Nigotia : Sir, b ut when w e let us say if I look at even Lombard, for that if I look at the same notes it is very much similar because they have a small book of crop insurance and even within health insura nce, which is 20% of their mix that is , let us say 7% to 8% of the return, so at least for Lombard it is very much comparable or probably it is not at such a regulation where we are spending at least 10% high

er as a percentage of operating expenses a s a percentage of net return premium and even when I look, let us say Bajaj Allianc e even for that if we look at the mix is around 40% to 45% motor, 20% is health and within t hat some part is your group health and for crop , there is some portion that they have, but if I look at the difference from Alliance, the difference is around 13% t o 14%. For Royal Sundaram also, even if I adjusted for the group policies and crop insurance , even th en the difference is staggeringly high . So, I am not able to really unde rstand that why there is such a big difference and even for us , if it is based on h istorical number required is just 10% of operating expenses and if I elevate it, then what is the ROE target that we have going forward , if we have to actually increase the operat ing expense by 10% as a percentage of NWP that increases the combined issue s tructurally by 1 0%, so if you can just share a perspective here.

V. Suryanarayanan : If we were to look at crop, some player s have a much larger proportion, some players have a smaller proportion, and it is not my intent to name any player in this call as this is only abou t our financial results. T o give a perspective , many players have a group health business, which are in the range of Rs.300 Crores to Rs.350 Crores . Our volum es ar e only about 10% of the size o f other players in terms of the group health bu siness that they have put out . Generally , as even commission e xpense structure is only at 7.5% . the inherent adva ntage wil l always be there, but which advantage is always squared up by a higher loss ratio on the claims front . We do not write group health b usiness extensiv ely business more as a board policy in view of the volatility as well as the adverse loss ratios , and the refore that advantage may not reflect in our cost s tructur e, that is part A in relation to the broader competition comparison. The seco nd is our own bu siness profile which has a larger proportion of long-term busines s. Of course, the long -term business would also get reflected in the net return premium , I don't deny that it is there, but that proportion has been growing fast and under the new dispensatio n of IRDA guideline directive , we are absorbing those costs upfront and a s we grow faster , our growth rate is 43%, the absorption is higher. B ut we do not expect t hat growth rate to sustain at 40% or 43% as we go along . So as the full y ear growt h stabilize s to a moderate level, we will find that the expense structure will also moderate.

Devansh Nigotia : Can you share the target for the combined ratio for nex t one to two year s growth and ROE profile for the next one to two years?

V. Su ryanara yanan: While we do not generally make forward looking statements for the company as such, but then we are looking at the end of the year ROE in the range of about 12.5% to 13% is what we will have for the year considering our own growth plans and th e level of growth that we would have by the end of the year, this is our estimation that is being made by the management internally.

Devansh Nigotia : But, if you look at , let us say in t he investment leverage currently it is around 6.5 times, which I think the so lvency has decre ased and if you are looking at 12% to 13% ROE , then to play the recovery of auto-cycle over the next two to three years, the investment leverage will keep expandin g, because I think our ROE will be lower than the expected growth. So, how wi ll this interpla y, if you can just share a perspective considering all the issue around recovering auto -cycle and we have a large mix of auto insur ance book in our own business , so how do you think this would play out?

V. Suryanarayanan : You are right abou t the investment l

everage of Chola MS , which is one of the highest in the industry and therefore , a strong point in terms of the investment income and the related yield th at it ge ts for us. but there are two to three factors that are developi ng. One is as you are aware , the motor vehicles act has been notified effective April 1, 2022, and there are both Supreme Court and a few High Courts judgements that have confirmed the applicab ility of many of the provisions that are favorable to insure rs for acciden ts occurr ing on or after April 1, 2022 . What this would mean is that the speed with which the claims get reported is poised to rise and in the revised procedure , the speed of settlem ent will also happen , so that is one development, which is both positi ve, because the uncerta inty of motor TP loss ratios for the future is poised to reduce ; one, and the other impact that it would have is that the cash flow, how the cash outflow will be faster as we proceed to settle those claims faster , so thi s is the effect on the leverage. T he second dimension is our own ambitions to grow in motor . We are clear that while we will certainly grow strong in motor , we would c ontinue to diversi fy across li nes of business and keep continuously reducing the motor proportion . On the p roperty side

 where even as you can see in Q1 , we have grown much faster and the trend is poised to continue , as also in our traditional businesses of personal accident, w hich has come back strongly and retail health , both in the attachment side as well as in th e retail si de, so the growth in these will be at a faster clip and which will keep reducing the proportion of motor business.

Devansh Nigotia : Okay, a nd in case of t his has b een notified long back, but this has actually not cleared out, so I think could yo u just help us understand on ground how this claim intimation and when is it actually going to start going, I think this has been six months or a year back?

V. Suryan arayanan : It got notified during March as effective from April 1, 2022 . Amongst many provisions that are being notified, the single most important one, is the time limit for intimation of a motor accident claim, which is now placed clearly at six months fr om the date of the acciden t. motor third party accident claims , typically and histor ically ha s had a practice of getting reported even up to seven years which brought out a high level of uncertainty . more importantly in the amend ed provisions , the power of Courts even to condone delayed filing of pe titions has been taken out. This has been confirmed ca tegorical ly by Kerala High Court and in a veiled way has also been confirmed by Supreme Court in some of its recent decisions .

Devansh Nigotia : But Sir, like I said you mentioned April 1, 2022, it has been notified, right?

V. Suryanarayanan : Yes, for acciden ts on or occurring after April 1, 2022.

Devansh Nigotia : But the question is how it is actually playing out right now , because what I heard is that this i s still n ot being playing out the six months' timeline and what is the response that we are seeing fr om the court and how it is actually playing our right now, we are in August 2022 already.

V. Suryanarayanan : These confirmations by both Kerala High Court and Supre me Court have happened sometime in July . So, I am sure the entire legal frate rnity will take cognizanc e of this and anyway , even the first claim has time to be reported until October, so we will get to see , probably , we will clearly have an indicat ion by October end or November, as to how this is happening in the market . What I meant to say is tha t these confirmations by apex courts is positive for the industry, and for any player who has a larger presence in the motor line of business.

Devansh

Nigotia : Okay, and in case of when we look at the run rate of advertisement and sale s pro motion it used t o be around Rs.60 Crores to Rs.80 Crores up until Q2 FY2022 that increased to Rs.130 Crores in Q3 FY2022 and it increased by almost Rs.100 Crores in Q4 FY2022 to

 Rs.183 Crores . Now, when we look at all this increase is only because of the absorption in fix ed cost, which is happening upfront or we have also structured and we increased some kind of ad sense , that is a target to some segments of the bu siness because what I see these have largely increased on motor insurance only, so as a percen t of net return premium it was I think around 17% so that ha s increased to 21% to 22% . So, is it only the change in accounting, which has got in subdelta or even we have setup our advertise ment in some segments and if at all any benefits we a re expect ing f rom them , if you can just share your perspective.

V. Suryanarayanan : See, b roadly this is a combination of multiple fa ctors . One is the absolute increase in volum e itself, so we h ave had a 43% growth, which in ab solute terms is about a quarter - to-quarter a Rs.400 Crores accretion , so that strong growth going by the present industry structure on cost pulls in an element of cost structure in its multiple forms and wi thin that, the pr oportion of the long -term business is even higher and traditionally , we have been strong in doing a good volume in niche segments , profitable segments of personal accident , dwellings and health benefits products etc. Y ou can see in the page 49 as to the rate of growth that is there in the PA and health and dwelling s will co me unde r the fi re segme nt, so the profile of business that we have been growing has also meant that costs are being pulled in. Besides, in Q1 Chola MS associated itself with RCB in the IPL, so there were some related advertising cost s, which were expensed in Q1.

S Venugopalan : Yes, it is a combination as you rightly said, there are expenses incurred on advertisement like Delhi metro and in the FM , these are also part of that. Every segmen t that we concentrate for increa sing the level of pene tration of insurance business, require certain type of promotional spend to reach out and increase branding and awareness aspects which would provide f oundation for growth of business.

Devansh Nigotia : Sure, I will join in the queue.

Moderator : Thank you very much . The next que stion i s from th e line of Sanketh Godha from Spark Capital. Please go ahead.

Sanketh Godha : Thank you for the opportunity. Sir, if you can quantify out of the total GWP or NWP you have in the current quarter, how much would be in long-term benefit base health or dwelling business as a percentage of the total business , and how much different it is compared to last year and how it could potentially play out for full year of FY2023?

S Venugopalan : Sanketh, as you know the long -term poli cies, which are embedde d into GWP is growing very fast for us . For example , in Q1 2022, the embedded GWP share was at 5% level and it has grown to 10.6% by Q1 2023 . This clearly shows that the long -term premiums

 embedded in the form of dwellings and health is growin g for us, that growth will ha ve an impact on the cost as you know that these all absorbed upfront in the P&L .

Sanketh Godha : But this pent up as a percentage could be seasonal and it has got u p in the quarter one and this is expect ed for the full year this n umber to be around 10% or i f it come back to 7% to 8% for the full y ear naturally you will see a better opportunity to play out in the subsequent quarter, so that is the idea why I am asking this questio

n whether this number will remain as 10 or you can se e this number to come off before you see an improvement in the opex business?

Suryanarayanan : Sanketh let me take this question, since these are by and large profitably lines of businesses a s I mentioned a while ago in terms of dwelling and P&A and health b enefit, our intent would b e to try and maintain that high proportion because these are inherently and eco nomically profitable businesses . Q1 is the leaner season for motor and that will be much la rger as we go along in the rest of the nine months that would play out in terms of reducing the percentage, so I would tend to think that the 10.6 could come down to about

8.5 or so when we reach the end of the year position, but our intent would be to gr ow each o ur business.
Sanketh Godha : Got it, Sir, but as a seasonality factor as you sa id probably it could come back to 8.5 kind of a number that is the way I need to read it, right Sir?
Suryanarayanan : Yes.
Sanketh Godha : Perfect and if you can do the sa me exerci se probably our opex of commission was almost 370 Crores, if you are comfort able of 370 Crores how much is towards thi s long -term business and how much is towards the annual policy expenditure if I rough cu t number whether it is in line with 10.6 in the opex or it is on the higher side that will give a picture how o pex ratios will evolve going ahead?
S Venugopalan : Sanket h, refer to slide #48 where we have explain ed on a note we have given the two cost separ ately, there is 33 Crores of the sourci ng cost incrementally which is the long -term premium embedded cost that is already absorbed in P&L. In addi tion to that you know that 43% growth in Q1 23 , there is an impact towards acquisition cost being absorbed fully upfront which was roughly around 59 Cr ores.
V Suryana rayanan : To add to what Venu has said the cost on annu al portion wil l naturally be moderate d because there it would start reflecting in the earnings as we go along and growth rate also will not conti nue at that same base, it was on a much smaller base, the base effect was there.
 Sanketh Godha : Got it, Sir, bu t since you ha ve touched upon the growth, quarter one growth was 43 I believe the growt h to sustain for the full year might be tough, so just wan ted to understand what is the gr owth rate we are looking for the full year compared to 43 what you have reporte d in Q1 and wh ich segment in Q1 all products have fired very well whether ther e will be anything from queue towards some other products from your perspective?
V Suryanarayanan : See, rather than putting out a percentage I would see our growth in relation t o industry growth. In Q1, it was 1.9X of industry growth excluding the SAHI players . I would tend to think that by end of the year, we would be at about 1.5 to 1.6X of GI growth , I think that is the kind of growth that we expect and as I said earlier, our own emphasis in property and the other lines will be larger given our consc ious bid to diversify and de -risk from motor.
Sanketh Godha : Got it, Sir and just on the loss ratio, wanted to clarify on moto r part for the 76% losses in motor seems to be a little elevated desp ite having mix in favor of better profitable product s like CV and two -wheelers, which appear to the lower motor would be loss maki ng product, still we have little elevated motor loss rati on, just wanted to understand it more to do with it discounting or yo u see this number to improve going ahead or not, that is poin t number one on motor OD. On motor TP, the 78% loss ratio naturally h as increased, but 78 somewhere we have baked in NDA benefit, or it is without NDA benefit in this 78% and as NDA benefit kicks in this number would potentially improve by the end of the ye

ar?
V Suryanarayanan : Sanketh, I think you are also reading from some page 53 of the presentation deck. Fo r the benefit of ot hers, you can see that the motor OD loss ratios are moderated from Q4 level of 82.8, but certai nly is at an elevated level as compared to the past, but by and large in line with the industry in terms of what other players are experi encing in terms of OD loss ratio s. Very clearly the pressure both on discountin g of premium a s well as rise in cost of claims is there. We are seeing many of the OEMs increasing the labour charges as well as the parts price which is between 4% to 6% by almost all OEM manufacturer s with respect to material cost price . This inflationar y effect has been t here and will probably continue, but the q uestion as to management of loss ratios would depend on how much more granular in t erms of choices that we make in respect of geography and in subcategories . The other advantage that Chola MS will have going f orward is that our commer cial vehi cle business especially with respect to the financier tie-ups is slowly restoring back and when that gets restored there will be some positive effect . On the TP side, yes, obviously we have not considered any motor vehi cle act benefits that are there and this we would definitely w ant to wa it and see as to how it actually gets adopted in the
 marketpl ace while the reaction of cour ts initially has been very positive as I mentioned earlier, we wo uld love to see it actually pan out and get implemented at which point I am sure our actuarial teams would take a relook in terms of advising us on what ratios t hat we should be provid ing for.

Sanketh Godha : Got it Sir , and last question, on health side if you can breakdown the health business, I think we did around 138 Crores in the current quarter, so i f you can break it down into benefit basis and indemnity to what you have done?
V Suryanarayan an: See, 138 Crores our benefit business would be about 74 Crores.
Sanketh Godh a: Sir, the co ntribution of benefit had has gone up in the current quarter co mpared to last two years, right?
Sridharan Rangarajan : Yes, it has.
Sanketh Godha : Perfect, thank yo u. That is i t from my side.
Moderator : Thank you. The next question is from the line of Prite sh Bumb from Dam Capital . Please go ahead.
Pritesh Bumb : Sir, just wanted to check on investment yield, we are still a t about 6.2 and it is broadly unchanged from last quarter so do we see we investment book itself the yield picking up from here on and doe s the profitability start improving without increasing the lever age that was the first question?
S Venugop alan: Actually, the yield started increasing after RBI in creased the repo rate recently, as you rightly said about that, there are two t hings that is happening, the incremental investments is also operational ly growing , which started accruing to the investments and the same is getting deployed at the higher yiel d for Chola MS . We have been talking about 380 Crores of attrition in the Q1, w hich is the normalized one when compared to the previous year it is much, much higher . Our average duration is around 3.6 years which reduces our interest rate risk and also inc reases the opportunity for investment in higher y ield when the same get matured . The incremen tal investments both maturing investments and operational accretions are getting deployed at higher yield and in fact i n July after the interest rate revision the incremental inv estment w ere deployed at an average yi eld of 7.7%
 Pritesh Bumb : So, the 3.6 duration means that w e will have a large part of investments done in the cold perio

d itself that is why the yield is lowe r because then make sense right because w e only have invested at about 5.5 % to 6% when the reach at that levels?
S Venugopa lan: One advan tage of lower durat ion is that it reduces the inter est rate risk substantially and provide opportunity for higher y ield when get matured like a situation like this . If you compare with other companies where the duration used t o be higher, whenever they invested in longer durati on it wil l take much longer period for redemption, and hence the lower yield w ould continue for l onger period than Chola MS. More over, Chola MS during the last 2 years kept some portion of the investments (slightly more than 10% of the AUM) in Fixed deposit with the maturity of less than 1 year . This has helped Chola MS to invest the same in current i ncreased interest rate scenario.
Pritesh Bum b: Sure, that is clear. S econd question was you mentioned our mix change which can happen in the m otor OD side just wanted to check does the opex also change when we do more of CVs compared to PVs?
Suryanarayanan : Opex wi ll change as we take our foot off t he OEM business and move tow ards more of financial business, so as volumes from financial tie-ups go up, then the pressure will reduce and also more importantly in terms of cars and two wheelers would have a larger pressu re in terms of opex , CVs would have a lower pressure.
Pritesh Bumb : Sure, so can you just mention how many financi al tie ups we have t oday and how much are looking for TO do it in the next financial year I mean FY2023?
V Suryanarayanan : See, some of our larger channels in the financier tie-ups include our own sister company, Chola Finance which is a large contributor . There is a natural rub off effect as they grow it means more business for us especially if they grow faster in commercial vehicle it is advant ageous for us, we continue to oper ate in some of our leading relationships with Indus Ind Bank with many small finance banks like AU, Equitas and also get volumes from other smaller financials, so these volumes are there, but these are some of our larger traditional and long time channels .
Pritesh Bumb : Sure, that means as banks growing, and we will also see the refle ction of the same?
Suryanarayanan : Yes, and large vehicle finance players when they grow naturally there will be a volume growth for us .
 Pritesh Bumb : Sure, and same question fo r when we look at motor and health mix I think you mentioned that health mix ma y go down back to that 8.5% to 9%, so ag ain there also opex will change a little bit towards a better side or help us much more cost eff ective tha n motor?
Suryanarayanan : See it is all cost there are multiple drivers there, I mentioned that in that 8% is i n terms of

overall long term, which will also include dwellings business which is the overall the long term premium business, naturally the cost st ructure for benefit products a re very different and it all depends on our own appetite and then it is pure economic benefit s it may hurt this year's f inancials but the value that you are building in the balance sheet will be much stronger .

Prite sh Bumb : Sure, that is clear. Thank you s o much. That is it from my side.

Moderator : Thank you very much . The next quest ion is from th e line of Dipanjan Ghosh fro m Citi. Please go ahead.

Dipanjan Ghosh : So, just a few questions from my side, first is on you r retail he alth business if you can quan tify how much proportion of the business comes from renewal side especially on the indemnity part of the busines s, the se cond is this is not on a quarter perspective but from a long term or historical perspective how do you see the claims really change on the indemnity side as the book vintage increase we see across custo

mers or across geography. My third question i n on the wholesale businesses the B2B business excluding group health, so what are the key US P that you have in thi s business to dominate the segment over a longer term is it pricing or is it relationships that you have out there and last if you can quanti fy how mu ch of your overall premium is originated from the Chola finance entity out there, those are my four questi ons?

V Suryanarayanan : The po int is health indemn ity will always be susceptible to medical inflation which c an grow anywhe re between 10% to 14% . Depending on geography, metros obviously will have a much higher inflationary tendency as against the tier two markets, therefore there will be the necessity to do pe riodic price correction for retail health indemnity . While this is so on one side , the other side is continuous addition of new customers to the portfolio is also essential because when the renewals get extend to the seventh or ei ghth cohort , it is more a matter of time that the claims emerge from such polic ies. So, the s uccess of a good strong franchise in retail healthy indemnity especially would always be to the ability to add new policy holders and maintain it at a certain prop ortion to the overall . Benefit products, as to your spe cific que stion on what w e are doing, emanates from many of the long-term relationships that we have . These went through a lull during the covid period when they had their own issues an d problems, but n ow with business levels

 restoring we are seeing an uptake in the volumes of the benefit busin ess both in terms of the health as well as the personal accident lines. Overall premium from Chola Fin ance it is there in page 60, Together with our own insurance express outlets , we get about 31% of total prem ium and we expect this proporti on to grow to about 35% at least by the end of the year . if I have left anything please bring it up, please?

Dipanjan Ghosh : Yes, two th ings, one is the right to win in the who lesale of the B2B businesses, all this B2B segments, how should one differentia te one from th e other and what are the key USPs to dominate the segment?

V Suryan arayanan : Very clearly, we have continuously over a period of l ast two to three years, we have increased our capacities through reinsurance arrangements, we have provided the returns to the reinsurer in terms of the profitability which has made them enhance our reinsurance capacities . Today we are in a bette r position to compete in the market for larger businesses in property insurance space, which is also yielding results in t erms of growth . Our other initiatives by way o f setting up specific vertical to target SMEs across the country is also contributing to the growth which is fairly robust as compa red to the industry growth.

Dipanjan Ghosh : Sure, just one question I think one followup and one question, one was on the retail renewal, how much of the business comes from renewa l annual number or whichever work s on the indemnity side and one followup, w hen we discussed the claims if you can highlight, do you get any favorable pricing a greement on your select hospital network and in case you get it, can you q uantify your broad range for it?

V Suryanarayanan : Our health renewals of indemnity is at about 70%. We have our network of over 10500 hospitals, menti oned some where in the dec k, and we hav e continuously engaging with the various hospitals based on the volumes traffic from our policies in the hospitals . We go back to the hospit als for b etter negotiat ion, benchmarking also is continuously done, so we are seeing some improvements over a quarte r-to-quarter, we do track that meticulously month -on-month improvements that we get by way of discounts.

Dipanjan Ghosh : Sir

, just one clari fication when you menti oned the renewal ratio at 70% is it renewal premiums to overall premiums in a p articular period or is it renewal of the proportion of overall premium pack was originated in the prior period?

V Suryanarayanan : Renewals, we a lways see in te rms of number of p olicies .
Dipanjan Ghosh : Policy which were to be renewed and which got renewed?
 V Suryanaraya nan: Sum insured from policy to policy and in tandem with that the premium may differ, so the industry always t racks re newals in terms of number of policies.
Dipan jan Ghosh : But this will be the number of policies up for renewal and the polic ies which got renewed during the period, correct?
V Suryanarayanan : Absolutely.
Dipanjan Ghosh : Sure. That is all from my side and thanks and al l the best.
Moderator : Thank you very much . Ladies and gentlemen, our last question is from the line of Devansh Nigotia from S IMPL. Please go ahead.
Devansh Nigotia : Thanks a lot for the followup. Sir, can you tell me expected yield for the n ext one year and for the year after that once o ur revenue matures so expected investment yield for FY2023 and FY2024?
V Suryan arayanan : See, that would clearly be a function of while the investment corpus accretion that we will have, normal sc enario we expec t to have net accretion of about 2000 Crores very clearly so to put a number say March 2023 we could well see the corpus ending at about 14500 Crores and the incremental yield that will naturally be market link ed, market related . We can a lso safel y assume that we are under weighted in terms of equit y, and we could very well see the growth in the equity book to about 4% to 5% of the corpus over the next two years . Thereafter I would leave you to do the math.
Devansh Nigotia : So, let us say if the i nterest r ates which ar e there as of today and the inte rest rates stay for the next two years then what would be expected yield ?
Sridh aran Rangaraja n: Sorry, can you repeat the question?
Devansh Nigotia : Just a directional number let us if the interest rate s stay fl at for the ne xt two years based on the expect ed yield today what would be the investment yield on book for the next one or two years if the interest rate not change for the next two years, so just a direction number not looking for exact numbers ?
S Venugopal an: We have provided the current yield as far as Q1 is concerned in the investor slides. The yield on investment for going forward depen ds on two factors, one the current yield on the existing invest ment book size of Rs. 13000 crs and second part is the in cremental investments in the form of operat ional accretion and the redemp tion proceeds of existing investments. R oughly Rs . 2000 to Rs. 2500 would be the operational surplus accr ued to
 the existing investments and redemption size depends on the maturity of the existing book. The future yield is the reflection of both current y ield and incremental yield which can be calculated based on the information that we have provided to yo u mathematically.
Devansh Nigotia : And what would be let us say the shuffle in the portfolio as a percentage for next one year or when you say some FDs mat ure so what would be the kind of churn that will happen?
S Venugopalan : Yes, Fixed deposit which is currently at 5% of overall book size will get matured within 1 year and the same would be deployed in higher interest rate which is really an opportunity for us as mentioned earlier . Also, our du ration is low and hen ce the maturing investment and operational surplus also make opportunity to invest in higher current yield.
Devansh Nigo tia: And what woul

d be the reversal if you could just help us on that side, one is the reversa l of the premium of Rs.9 Cr ores in t his q uarter what is that related to?
S Venugopalan : You are talking about the premium defici ency reversal?
Devansh Nigotia : Yes.
S Venugopalan : It was created in March 2022, not in the current Q1, the exposure towards covid specific product has be come NIL and all connected claims were fully bo oked in the P&L and accordingly, as per actuarial model, there were no necessity to cont inue the premium deficiency reserve create d in the earlier period and hence reversed as per the IRDA regulation . It is to be noted that the reversal is nothing to do with any management intension .
Devansh Nigotia : Got it, Sir, within our opex like I had t he question, similar question for outsourc ing and employ ee count there also the run rate of 7% to 8% ha s moved up to 11%, so even that increased structurally because of upfront increase in the operating expense for long term policy or there will be some st ep up with the employee count some salary increase that have happ ened some perspective if you can share ?
S Venugopalan : As far as Chol a MS is concerned the outsourcing expenses was reclassified as part of

employee related e xpenses , and if you look at the financial accounts of March 2022, there is a cle ar note t here, it is all the st aff related, we have a two types of the em ployee cost, one is inhouse employee cost and another is the outsourcing part.
 Devansh Nigotia : Basically, both employee cost and outso urce expense cost both of them are employ ee cost, right?
Sridharan Rangarajan : That is right, that we have already moved in March 2022 .
Devansh Nigotia : There is some addition of both was likes around 7% even that has moved to 1 1% to 12% so I am just tryin g to understand over a year also the chan ge in accounting policy has led to this step up from 7% to 8% to 11% structural ly or there ha s been a step up in the employee count th at is the main question ? If I go by the exact number s before March 2020 if I add the employee cost and outsourcing expense as a percentage of net return premium is usually 6.5% to 7% over the last one to two years that has moved up to 11% to 12%, so that i s where I am trying to understand what part this delt a of 4% to 4.5% because of t his accounting policy change and what por tion is related to I think set up in the employee cost?
S Venugopalan : That wil l change as I mentioned in March 2022, we have re classifie d the outsourcing expenses into st aff expenses as c ombined so even earlier if you look at the two expenses employee rel ated costs and outsourcing and compare it with March 2022, there will not be bi gger change in that.
Devansh Nigotia : So, there i s a bigge r change I am actually going by the data ?
S Venugop alan: Probably you can come off line on that point.
Devansh Nigotia : That is all from my side, thank you.
Moderator: Thank you very much. Ladies an d gentlemen, t hat was the last questi on. I now hand the conference over to the management for closing commen ts.
Sridharan Rangarajan : Thanks for all the participants who joined the call . As we have mentioned Chola MS is poised for strong growth through the year and we c onclude the call. Thank you.
Mod erator : Thank you very much members of the management team. Ladies and gentlemen, on behal f of DAM Capital Services, that concludes this conference call. Thank you for joining us. You may now disconnect your lines.

Call: Nov 2022

(no extractable text — likely a scanned image PDF)

Call: Feb 2023

(no extractable text — likely a scanned image PDF)

Call: Aug 2023

(no extractable text — likely a scanned image PDF)

Call: Feb 2024

(no extractable text — likely a scanned image PDF)

Call: Aug 2024

(no extractable text — likely a scanned image PDF)

Call: Nov 2024

(no extractable text — likely a scanned image PDF)

Call: Feb 2025

Cholamandalam Financial Holdings Limited
(Formerly known as TI Financial Holdings Limited)
Dare House, 234, N.S.C Bose Road, Chennai - 600 001, India Tel: 91.44.4217 7770 -5
Fax: 91.44.42110404 Website: www.cholafhl.com CIN -L65100TN1949PLC002905

February 1 2, 202 5
The Manager
Listing Department
National Stock Exchange of India Ltd
Exchange Plaza, 5th Floor
Plot No.C -1, Block G
Bandra -Kurla Complex
Bandra (E)
Mumbai 400 051

Symbol : CHOLAHLDNG
The Secretary
BSE Limited,
25th Floor, Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai 400 001

Scrip Code : 504973

Dear Sir / Madam,
Sub: Intimation under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('the Listing Regulations ')
This is further t o our letter dated January 29 , 2025 on the schedule of Analyst/ Investor meet. Pursuant to Regulation 30 of the SEBI Listing Regulations, 2015, we enclose the transcript of the call held with analysts and investors on Friday , February 7 , 202 5. The same has also been uploaded on the Company 's website at https://www.cholafhl.com/investors/investor -meet
We request you to take the above on record.
Thanking you,

Yours faithfully,
for CHOLAMANDALAM FINANCIAL HOLDINGS LIMITED

E KRITHIKA
COMPANY SECRETARY

Encl: As above

"Cholamandalam Finance Holdings Limited Q3 FY25
Earnings Conference Call "

February 07, 2025

MANAGEMENT : MR. SRIDHARAN RANGARAJAN - NON-EXECUTIVE
DIRECTOR , CHOLAMANDALAM FINANCIAL HOLDINGS
MR. N. GANESH - CHIEF FINANCIAL OFFICER ,
CHOLAMANDALAM FINANCIAL HOLDINGS
MR. V. SURYANARAYANAN - MANAGING DIRECTOR ,
CHOLAMANDALAM MS GENERAL INSURANCE
MR. S. VENUGOPALAN - CHIEF FINANCIAL OFFICER ,
CHOLAMANDALAM MS GENERAL INSURANCE
MODERATOR : MR. PARTH JARIWALA - DAM CAPITAL ADVISORS

Moderator : Ladies and gentlemen, good day and welcome to Chola mandalam Finance Holdings Limited Q3 FY25 Earnings Conference Call hosted by DAM Capital Advisors Limited.

As a reminder, all part icipant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note this conference call is being recorded.

I now hand the conference over to Mr. Parth Jariwala from DAM Capital Advisors. Thank you and over to you.

Parth Jariwala: Thank you. Good evening all and welcome to Q3 FY25 Earnings Call of Chola mandalam Financial Holdings Limited.

From the management , we have Mr. Sridharan Rangarajan – Non-Executive Director , Chola mandalam Financial Holdings ; Mr. N. Ganesh – Chief Financial Officer Chola mandalam Financial Holdings ; Mr. V. Suryanarayanan – Managing Director, Chola mandalam MS General Insurance and Mr. S. Venugopalan – Chief Financial Officer, Chola mandalam MS General Insurance.

Without further ado, I hand over the call to the Management for their opening remarks, post which w e can open the floor for questions -and-answers. Over to you, sir.

Sridharan Rangarajan: Good evening to all of you and thanks for your participation. We have our Managing Director, Suryanarayanan and also our CFO – Venu gopalan .

I would request Suryanarayanan to make the opening remark and we will then open up for Q&A.

V. Suryanarayanan: Thanks, Sridhar. Good evening to each one of you.

Let me proceed with giving an "Overview of the Performance " of Chola MS for the quarter and nine months ended D ecember 2024 :

In Q3, in line with the regulatory requirements, the industry implemented the 1/n method of accounting and reporting of GWP with respect to long -term non -motor business. As all of you are aware, the motor business long -term has been dealt with in a particular way since 2018 when it was introduced. Now with this changed method of recognizing GWP, recorded a gross direct premium of Rs. 2,003 crores with a growth rate of 8% as against the multi -line insurers growth of 7.2%. And we followed the method that was adopted until September 24. The additional GDP recognition would have been Rs. 124 crores, which amount is now reflected as premium received in advance.

As at the end of nine months, the GDPI was Rs. 6,095 crores with a growth rate of abou t 10.3% as against the multiline growth, multiline insurers growth of 6.8%. In quarter three, the company

grew higher than industry in motor. As a result of the aforementioned 1 /n method in reporting, the growth in the fire, which means more the dwelling b usiness and health line of business was

lower.
As of December, YTD, the composition of motor in the overall premium has reduced to about 64% as against 65.9 % in the previous financial year. In motor, the principal line of business for Chola MS, the market share grew to about 5.5%. Within motor, now the company has a composition of 41.2% in cars, 42.9% in CVs, and 15.8% in two -wheelers. The company gets about 28% of its total motor premium from new vehicles. In the current quarter, the company entered two la rge OEM car programs and businesses commenced in these programs. The EOM for Chola MS in Q3 was rendered higher because of the 1 /n method change and product mix changes. The company stays committed to stick to the glide path approved by the Board and prese nted to the regulator. In the nine months ended December 24, the company expended Rs. 92 crores towards technology spend as against Rs. 70 crores in the corresponding period, which also had marginal influence on the EOM ratio.
The claims ratio for

the quar ter was at 72.6 as against 74 .5 in the corresponding quarter lower by about 1.9%. The Natcat event from Fengal Cyclone in Pondicherry impacted the company during the quarter. The combined effect of Natcat events on the claims ratio for the nine months ended December is about 0.7%. The company continues to be prudent in its reserving for motor third party claims. The combined ratio for the quarter was 111.7 %. If one were to look at it without the 1 /n effect, it was 108.9 % and compares well with 110.3 % of corresponding quarter. Likewise, the YTDC combined ratio without 1 /n effect was 109.4 % as against 110.4 % in corresponding period. The company's investment corpus as of December grew to 17,640 crores with an investment income of Rs. 332 crores for the quar ter. The profit before tax in the quarter and the 9 months ended December were at Rs. 137 crores and Rs. 486 crores respectively. The return on equity asset December progressed to 13.6% , not annualized. The company operates with a solvency of 2.14 x.
We'll now be happy to take any questions that you may have.
Moderator: Thank you very much. We will now begin the question -and-answer session. Anyone who wishes to ask a question may press ‘*’ and ‘1’ on their touch -tone telephone. If you wish to remove yourself from the question queue, you may press ‘*’ and ‘2’ . Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. We will take a first question from the line of Sanket h Godha from Avendus Spark . Please go ahead.
Sanketh Godha: Thank you for the opportunity . Sir, in the current quarter, we are seeing little asset growth compared to what we delivered in the first half. So, is thi s growth largely driven because of you believing the competition has improved in the motor segment? And that's why you see the better opportunity to group a particular segment or to some extent, 1 /n drove to go a little aggressive, a little on the motor so that overall growth doesn't get impacted. I just wanted to understand, was

there any material change in the underlying market to drive the growth in the motor business? That's my first question, sir.
V. Suryanarayanan: Thanks, Sanket h. See, this quarter also, as you will know, represents the festivities season for the business. Particularly, we found the car sales are a little more bullish in this quarter. So, I talked about the new vehicle business coming during the quarter. So, all these have helped. Besides, we have also been seeing an uptick in our agency business, particularly in motor which has also helped in the growth in motor. And the thrust that the company has been having in a higher proportion of cars, you would see it in th e charts in page 57. So, where over a period of time, so we were at 25.4 in FY21 and it has progressively improved to now about 41.2% in cars. So, that's the portfolio composition swing that the company has been bringing about over the last four years or s o. And it's moving in the same direction. This is contributing to the growth in motor.
Sanketh Godha: Okay, so it is fair to assume that in 3rd Quarter predominantly little higher exposure to cars has played a role to see better growth. And if I am right, then the growth was more reflected in OD because cars predominate ly OD benefit there.
V. Suryanarayanan: You could say that the composition of OD in this entire business has been rising continuously.
Sanketh Godha: Got it sir. And the second question, sir, what's on health loss ratios for the quarter? See, honestly, we had, from a historical past, our health loss ratios have deteriorated and now at 75.5 health and PA put together, seems to be much higher compared to what we were reporting around 69 -ish for last 3-4 quarters. So, anything to re

ad, because 3rd Quarter is typically a healthy quarter for the country as a whole. Still, the loss ratio has deteriorated. Any color to understand and any corrective measures to be taken there?
V. Suryanarayanan : The company has been shaping up its employer -employee group health business this year,

though at a number of about Rs. 320 crores for nine months ended, the Chola MS would still be amongst the bottom five in terms of the employer -employee. But from our past, this has grown and this probably reflects the loss ratio that are more closer to that segment of business. And then moving on to actually the retail side of the health business. Some of our products, we had a price increase in one of the products coming in from October and in one of the products, we have the division is coming in from January 2025. So, which would also help in reducing the loss ratios as we move along.

Sanketh Godha: Should we expect that it to go to below 70 is kind of a number going ahead, sir?

Management: No, given the employer -employee group L , so one can reasonably expect it to be around 72 or so, but I don't see that going back to about 65 or 66. The component of weight of the employer - employee would be there.

Sanketh Godha: Got it, sir. And one more question was , we were under the impression that the 1 /n accounting should impact combined, but it should not have any impact on profits because we were recognizing premium on 1 /365 basis . But just from an accounting point of view, the profit seems to be different for 3rd Quarter Rs. 102 crores versus Rs. 111 crores. So, what explains that difference, what led to that 7 -8-9 crores of extra profit if we would have not followed 1/n accounting ?

Venugopalan : In the 3rd Quarter , you are right that the net earned premium will not have any impact due to 1 /n because the pro -rata p remium is being same between the old and new. But there are smaller amount of impact that it creates from the point of view of the RI commission that is also there. There are impacts arising out of the commission direct is also there but in a smaller way. So, overall, the profitability for the company is not impacted other than the direct commission in a smaller way and the R I commission to some extent. So, this has impacted PBT slightly negatively . There is not much of a difference. Rs. 7 – Rs. 8 crores difference in the Q3 may not be a material part.

Sanketh Godha: Okay , understood. So, basically the biggest portion, the divergence largely because of RI commission. That's the simple way I need to understand, right sir?

Venugopalan : Yes.

Sanketh Godha: Okay , perfect. And last one from my side, 1/n accounting naturally will impact industries E oM. So, do you expect regulators to give a leeway because the denominator itself got changed and therefore do you expect a leeway to come on E oM compliance by some, mayb e by a year or so. And second thing is that if it doesn't come, then in these long -term plans, is it possible to defer the commission s so that industry becomes EoM compl iant. Because when we speak to other players in the industry, the answer seems to be a mixed bag because some people are able to defer it, some people did not defer it. So, just wanted to understand how it is expected to play out given we have a decent exposure to these long -term plans.

V. Suryanarayanan: Sanketh, with respect to the diminis hed denominator while computing the EOM levels, which is what you are explaining. So, they have taken this explanation and the industry hopes that in subsequent years it will probably help in some guidance which could actually help the industry. So, that is on the first part. The second part with respect to the commission payouts to various channels. Some channels it's been possible to ensure that the payment of commission happens on an annual ba

sis. And naturally as an intermediary, the channels have thei r own interest s in terms of their own requirements, in terms of their own reporting requirements and financial requirements. So, it's a mixed bag is how we would tend to see it at this point in time. From a company's point of view, if there are certain high-cost channels at this point in time are high - cost products, however profitable they may be, we may need to take a more cautious call keeping the EOM compliance in mind.

Sanketh Godha: Got it. So, just trying to follow up on that point, assume regulator d oesn't relax E oM, then your strategy to long -term products might change from current approach so that you become or industry players become more EoM compliant?

V. Suryanarayanan: It's more an opportunity that's there. These are by and large economically pr ofitable businesses. And therefore, I think, so to the extent that there is leeway, I am sure companies and market competitors will continue to take the long -term view .

Sanketh Godha: Got is, sir. That's it from my side. If I have any further questions, I will come back in queue.

Moderator: Thank you. Ladies and gentlemen, to ask a question, please press ‘*’ and ‘1’ on your phone now. There are no further questions. I now hand the conference over to management for closing comments. Over to you, sir.

Suryana rayanan : Thanks everyone for making it to this conference call. The company has been growing well ahead of industry and sticking to its core objectives. We expect to continue to do well over the ensuing quarters. Thank you.

Moderator: On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2025

Cholamandalam Financial Holdings Limited
(Formerly known as TI Financial Holdings Limited)
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May 14 , 202 5
The Manager
Listing Department
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Plot No.C -1, Block G
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Mumbai 400 051

Symbol : CHOLAHLDNG
The Secretary
BSE Limited,
25th Floor, Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai 400 001

Scrip Code : 504973

Dear Sir / Madam,
Sub: Intimation under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (‘the Listing Regulations ’)
This is further t o our letter dated May 6 , 2025 on the schedule of Analyst/ Investor meet. Pursuant to Regulation 30 of the SEBI Listing Regulations, 2015, we enclose the transcript of the call held with analysts and investors on Friday , May 9, 202 5. The same has also been uploaded on the Company ’s website at https://www.cholafhl.com/investors/investor -meet
We request you to take the above on record.
Thanking you,

Yours faithfully,
for CHOLAMANDALAM FINANCIAL HOLDINGS LIMITED

E KRITHIKA
COMPANY SECRETARY

Encl: As above

“Cholamandalam Financial Holdings Limited

Q4 FY 25 Earnings Conference Call"
May 09, 202 5

MANAGEMENT : MR. SRIDHARAN RANGARAJAN – NON-EXECUTIVE
DIRECTOR – CHOLAMANDALAM FINANCIAL
HOLDINGS LIMITED
MR. N. GANESH – MANAGER AND CHIEF FINANCIAL
OFFICER – CHOLAMANDALAM FINANCIAL HOLDINGS
LIMITED
MR. V. SURYANARAYANAN – MANAGING DIRECTOR –
CHOLAMANDALAM MS GENERAL INSURANCE
MR. S. VENUGOPALAN – CHIEF FINANCIAL OFFICER ,
CHOLAMANDALAM MS GENERAL INSURANCE

MODERATOR : MR. PARTH JARIWALA – DAM CAPITAL ADVISORS

Moderator: Ladies and gentlemen, good day, and welcome to Cholamandalam Financial Holdings Limited Q4 FY '25 Earnings Conference Call hosted by DAM Capital Advisors. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Parth Jariwala . Thank you, and over to you, sir.

Parth Jariwala: Thank you. Good evening, everyone. Welcome to Q4 FY '25 earnings call of Cholamandalam Financial Holdings Limited. From the management, we have Mr. Sridharan Rangarajan, Non - Executive Director, Cholamandalam Financial Holdings Limited; Mr. N. Ganesh, Manag er and Chief Financial Officer, Cholamandalam Financial Holdings Limited; Mr. V. Suryanarayanan: , Managing Director, Cholamandalam MS General Insurance; Mr. S. Venugopalan, Chief Financial Officer, Cholamandalam MS General Insurance. We'll begin with the u pdate on Q4 FY '25 from the management. And post that, we can open the floor for Q&A.

Without further ado, I'll hand over the call to the management for the opening remarks. Thank you, and over to you, sir.

V. Suryanarayanan: This is Suryanarayanan. Good evening to each one of you for joining the earnings conference call of Cholamandalam Financial Holdings for the quarter and year ended March '25. I shall now proceed to give an overview of the performance of Chola MS for the quarter and the year.

In Q4, in line with the 1/ N method of accounting and reporting of gross direct premium, with respect to long -term non -motor business, the company recorded a gross direct premium of INR2,029 crores. The premium received in advance on long -term non -motor products was INR124 crores for the quarter.

Together with the reinsurance inward business, the GWP for the quarter was INR2,135 crores. The company ended the year with a gross direct premium of INR8,124 crores and gross written premium of INR8,328 crores, which meant that the company grew at about 1.5x of industry growth on 1/ N GDPI basis and 1.6x on full GDPI basis.

The long -term non -motor PRA, premium received in advance was INR250 crores for the year, which really is for the half year, which is the second half year, which places the combined GWP at over INR8,578 crores on a comparable basis with the previous year. During the year, the company added to its distribution by entering into new OEM relationships, large financial relationships and stepping up on its agency .

The company recorded business in over 168,000 gram panchayats in the country out of the 2 .68 lakh g ram panchayats that exist in the country. The customer addition that happened in these gram panchayats was over 5.2 million.

In motor, the principal line of business, the market share stood at 5.5%. Within motor, the company has a composition of 42% in cars, 43% in commercial vehicles and 15% in 2 -wheelers.

The company secured about 27% of its total motor premium from new vehicles. The expense of management o f Chola MS for the year stood at 33.14, which measured without by 1/ N works

out to 32.18% and is lower than the glide path approved by the Board way back and presented to the regulator.
During the year, in pursuant to its direction on augmenting digital capabilities, the company spent INR117 crores towards technology spend as against INR91 crores in corresponding period.
The claims ratio for the year stood at 73.3%, lower than the 73.7% in the previous year. The combined effect of catastrophic events on t he claims rati o for the year was about 0.42%.
The company con

tinues to be prudent in its reserving for motor third -party claims. The combined ratio for the quarter was 109.3 and which without the 1/ N effect translates to 105.7. The full year combined ratio without by 1/ N effect was at 107.85 as against 109.9 in the corresponding period.
The investment corpus crossed the INR18,000 crore mark. And in Q4, the company had the benefit of recoveries of INR54 crores from written -off investments in earlier years. T he PBT in the quarter and full year were at INR195 crores and INR680 crores, respectively, which includes this onetime income of INR 54 crores. The return on equity on average net worth progressed to 18.5%. The net worth of Chola MS nudged the INR3,000 cror e mark. And as you are aware, 85% of this net worth is by way of earned profits over the years. The solvency ratio of the company at 2.18x as at March is comfortable.
We'll now be happy to take any questions that you may have.
Moderator: Thank you. The fir st question is from the line of Ravi Purohit from Securities Investment Management Private Limited. Please go ahead.
Ravi Purohit: Yeah, hi . Good evening, gentlemen. And c ongratulations for a fantastic year. Sir, just wanted a couple of things. In the past con calls, we have mentioned that our targeted ROE for this General Insurance business has been around -- is around 17%, 18%, and we hope to be there in a couple of years. So I think we are probably there this year. Would you think that we can sustain at these ROE levels going forward? And if you could just kind of share your thoughts on the same from the next 2 to 3 -year perspective?
Second is on the listing of the general insurance companies. I think there was a nudge from the regulator to kind of get the insurance companies listed. So if you could just share on these 2 aspects?
V. Suryanarayanan: Thanks, Ravi. On the target ROE, I had mentioned in my opening remarks that we ended the year at about 18.9 %. A word of caution is that this does include the effect of the onetime income of this INR54 crores. Even without that, I guess it would be somewhere at about 18% or so. I certainly feel that this level of ROE is quite sustainable as we go along.
The second is with respect to the listing of general insur ers, in fact, to clarify, Chola MS was not one of the companies that the regulator had called for a discussion, which I suppose they are first looking at the even larger players at this point in time, and our turn would come in due course,

perhaps when the new IRDA Chairman comes and later on as the case may be . The Board of the holding company will take an appropriate call.
Ravi Purohit: Okay. And sir, if you could just give the breakup of this 18% ROE, which we expect to kind of continue to be in this ran ge over the next few years. And this is -- how much of is basically with our combined ratio coming down, how much is it likely to get contributed by, let's say, income on our investment book?
Last year was particularly good for investment book for a lot o f general insurance companies, generally speaking, with markets being buoyant. So if you could just kind of give some idea as to what path are we following on the combined ratio and vis -a-vis, let's say, what our investment book gains will be?
V. Suryanara yanan: Yes. If you look at it on the combined ratio front, we have been fairly stable on the combined ratio. And the 1/ N effect did aggravate and then accentuate the combined ratio part, which is why I said when measured without 1/ N, it's actually come dow n to about 107.85, which is more or less the kind of indication that we had given earlier year or so. So I would tend to think that the combined ratio would remain elevated, but then we would possibly improve by 1% or so over a 12 -month period is what I wo uld tend to look at.
On the investment front, certain

ly, there is a possibility that all our debt portfolios, the mark -to-
market gains will change for the positive significantly through the year. As at March '25, our surplus was rendered at about INR108 cr ores, which has already moved up given the current situation.
So while, of course, equity markets could be turbulent considering the geopolitical situation at this point in time, still, we feel that the investment income will be fairly robust during the ye ar.

So overall, therefore, I think for the profitability or the return on equity, we don't see great stress for FY 25-26 as it is.
Ravi Purohit: Okay. But sir, slightly medium term, I mean, our combined ratio is fairly elevated, right, in the sense would y ou think that we could be closer to 102%, 103% over a period of time, 2, 3 -year period? Or where would you expect it to kind of settle down? I mean, because in the long run, sustainably keeping it at elevated levels is not a sustainable strategy, right? I mean..
V. Suryanarayanan: Yes, I fully agree with you. But there are many drivers in the industry, which should help in actually making this downward progression in the combined ratio. So as you would have heard even in the other calls possibly, Motor TP p rice revision is one element. And given the fact that Chola MS has a large composition in motor, so this is particularly a key element which can help in improvement of the combined ratio as we go along.
The industry hasn't seen this price erosion for almos t last 3 to 4 years. And therefore, whatever correction that comes through, and there are indications that this year the government could look at a price correction, so we have no idea as to when it will happen, whether it will happen immediately or 2, 3 m onths down the line is not something that we are aware of at this point in time. That certainly can help in improving the combined ratio.

Besides, the expense of management reduction also will help in the overall combined ratio. See, last year, without 1/ N, we had reduced it by 0.5%. And 0.5% on INR8,500 crores means that you've got that kind of a reduction in EOM there. Similar reductions as we go along, sure, it will help in bringing the combined ratio down. So we don't make forward -looking statements as to the kind of combined ratio that will be achieved , but we do have plans to reduce, but we are not stating them here.
Ravi Purohit: Sir, if one looks at, again, bird's eye view, there are things that are in our control, there are things which are not in our control, right? So historically, we -- I think you also alluded to this fact that there is a lot of commissions that are being paid out in the industry directly, indirectly, whatever way one looks at them. An d there are certain things which are probably in our control in terms of tech usage, more smart underwriting.
Between these two, do you think we have done enough work or sufficient work to at least take benefit from the things which are under our control, and therefore, we could hopefully at least get 200, 300 basis point improvement over a period of time or that also looks like tough?
V. Suryanarayanan: See, the company has been working on its tech development program, so which is operating on multiple fro nts. One is the transition from the legacy ERP system where there is progress. The second is the effort and tech spend that is happening on the digitization spend, which is more for modernizing and also to realize the efficiencies in transacting and also c onvenience in transacting for channel partners and the employees. I think these will play out and one could see the benefit of efficiencies kicking in as we go along.
Ravi Purohit: Okay. Thanks a lot, sir. I'll get back in the queue.
Moderator: Thank you. The next question is from the line of Sanketh Godha from Avendus Spark. Please go ahead.
Sanketh

Godha: Yeah. Thank you for the opportunity, sir. So in one 1/ N accounting for the full year, we were at 110.2. If we don't do 1/ N, it is 108.1. So just wondering, given that advance premium, which is not recognized in the current year, will ultimately get recognized in the current year and a year later. So is it fair to say that we are getting closer to 108 at least in FY '26?
Venugopalan S : So, you are r ight. Basically, the combined ratio will come down from 110 to around 107 from the point of 1/ N effect. Your question is whether they're sustainable from the point of view of that to the next level. That's what you were asking?
Sanketh Godha: Yes. Basicall y, if the business environment remains broadly the same, then the glide path to 108.1 is given. And if things remain better relatively compared to last year on competition, pricing, all those things, then there is an additional delta in the combined to pla y out. That's the way I was just looking at it, sir.
Management: I think, our MD has pointed out clearly that there are 2 levers which may reduce the combined ratio going forward. One is the natural EOM reduction that we need to fulfill as per the glide path. That part definitely will play down in the part of the combined ratios to come down. And

the second is the motor third -party price that he has clearly said that it is not under our control, but that will largely help from reducing the loss ratios in th e Motor TP segment being a company which is having a higher exposure in the TP. That will definitely bring down from that level. We are not quantifying this, but we will definitely be able to say that there is a possibility of reduction of the CoR going fo rward.
Sanketh Godha: Got it, sir. Sir, one more thing. See, when I speak to some of the SAHIs, I get the impression that regulator has told that E OM compliance will be on N basis, not on 1/ N basis. So when you said on 1/ N, we are 33.1 and on N we are at 3 2.2 so basically, we -- I mean if I use 1/N, then we are just 70 basis points away, assuming a tech cost of 1.5% is allowed. That's a fair understanding, sir?
Venugopalan S : Yes. FY 25- 26 is the last year of the glide path. So where we need to achieve that 1.5%, which you are talking about, that all depends on the additional allowances towards insurtech and the rural obligation part. But we are on the path to achieve that glide path leve l for FY 25- 26.
V. Suryanarayanan: Sanketh, the other aspect is even this difference is only because of the products that the regulator wants us to focus, which would be namely dwellings and such other long -term products, which is a priority area even for the regulator. So that is the dialogue that we have been having with the regulator to take a favorable look at the scheme of things.
See, we are pursuing the call of the regulator in growing these businesses, which are also considered as the necessary r ural and social obligations in terms of enhancing the coverage. And there, when you do long term, so you have these cost implications.
Sanketh Godha: Got it. But sir, just a small clarification. Expense of management will be based on GWP recognized on 1/ N basis or it is on cash basis?
V. Suryanarayanan: This aspect, the industry has been pleading with the regulator to look at the nature of products and the cost structure accordingly. I think that's where I will stop.
Sanketh Godha: Okay, sir. And lastly, si r, you did not allude to this point, which I thought it will naturally help in improving your combined ratio. Is the price hike what industry is witnessing with respect to commercial lines because every player has spoken about that point. So we are at 2.7% market share today.
Just want to understand in a better pricing environment, would you intend to increase the contribution of that business and likelihood market sh

are you want to achieve next year? And if
at all, you grow a little strongly and because t he pricing environment is better, would that add extra delta to your COR improvement or loss ratio improvement in that sense?
V. Suryanarayanan: Certainly, our fire business is poised to grow from the levels that it is currently in. And in the current year , the company has also secured additional reinsurance capacities. And therefore, we will be in a position to write larger shares. It's also a fact that our net worth has been growing, and therefore, the retention levels towards the property risk is also po ised to go up. So we should be stepping up on that portfolio.

Sanketh Godha: Got it, sir. And finally, on motor business, see, especially on the OD side, our loss ratios, honestly, from our historical average seems to be on the higher side relatively. So s ir, just wondering in the process of diversifying the product mix, are we compromising a bit on motor OD loss ratio? Or you think that we should go back to the previous product mix so that our overall OD loss ratios look better relatively? Or you are getti ng more benefit on TP because of the product diversification, net -net, your motor, you are still comfortable with in that sense?
V. Suryanarayanan: Yes, as you would have looked at the motor composition has been changing, and we are seeing a rise in the ca r proportion. If you are to look at even our OD -TP mix, actually, this year, it's almost -- it's moved to about 42.7% of OD. The previous year, it was 40.6%. So there is a 2.1% shift that has happened towards OD in the current year. And in that context, yo u read the claims ratio of our company in Q4, actually, you will find that it is 72.5% and come down from 75.4% in the previous year. In fact, even lower than the full year's number of 73.6%.
So that way, now we are seeing a reduction though we have looked at numbers of other larger players, they've all seen an increase in the motor OD LR in Q4. In our case, actually, we are seeing a reduction in the motor OD LR of Q4. So evidently, some of the corrections that we have made is working and is taking shape. I 'm reasonably confident that this will be sustained and then brought down further.
Sanketh Godha: Got it, sir. Perfect, perfect. That answers my question. Thank you very much.
Moderator: Thank you. The next question is from the line of Ravi Purohit: from Securities Investment Management Private Limited. Please go ahead.
Ravi Purohit: Yeah, Hi . Thanks for giving me another opportunity. Sir, just one question on this write -back that we had in the investment book this quarter. Is this pertaining to the write -offs that we had

taken during IL&FS or DHFL write -offs or...
V. Suryanarayanan: Yes. So this is largely from the Reliance Capital write -off that we had taken and ILFS, about INR31 crores from Reliance Capital and balance of INR23 crores from ILFS.
Ravi Purohit: Okay. So there was some settlement that happened during this quarter. So all of the guys who would have taken write -offs would have...
V. Suryanarayanan: Yes. The cash realization , plus what they gave as securities, yes.
Ravi Purohit: Okay. And sir, the other question, of course, this has been asked many times in the past also is about the fact that Chola Holding is the holding company, and therefore, the true value of its holdings in the 2 subs kind of does not get reflected. There is always a very, very large holding company discount that kind of stays. So anything -- I think we've always said that the Board is cognizant of this, and there will probably come a time in future. So anything that we want to kind of do or looking to do on this side, it will be helpful for -- from investors' point of view, I think it will actually release a lot of value in that sense.

Sridharan : Thanks, Ravi. I think you've asked the question , as well as you have answered that also. But I think we will definitely look at it. As Sury said, the Board is cognizant of this fact. And there is a path most of the companies have to travel towards listing. So we'll have to wait and see, and we'll come b ack to you at an appropriate time.
Ravi Purohit: Okay. Okay. Thank you.
Moderator: Thank you. The next question is from the line of Ravi Purohit: from Securities Investment Management Private Limited. Please go ahead.
Ravi Purohit: Yeah. Thanks. I think it looks like a lucky day. I had a chance to ask a question. So, one suggestion, I think we are probably one of the fewer general insurance companies who are not at a triangle n the presentation -- investor presentation. Most of the companies have kind of co me to now this table as part of their investor deck. I would greatly appreciate if you could include that in future.
Venugopalan S : Can you narrate which table?
Ravi Purohit: The reserve triangle .
V. Suryanarayanan: Reserve triangle. Okay.
Ravi Purohit: Yes, the reserve triangle table. Yes, yes.
V. Suryanarayanan: Yes, we take that suggestion, so we will work on it. Thank you.
Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to the management for closin g comments.
V. Suryanarayanan: So thanks for joining in on the call. So it was a good year for us where we are able to record growth and with improved profitability. The industry is exciting as always. And I think the company -- both the industry and the c ompany is poised for a decent year. So we will continue to interact with you on a quarterly basis. Thank you.
Moderator: On behalf of DAM Capital Advisors, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2025

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Symbol : CHOLAHLDNG
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25th Floor, Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai 400 001

Scrip Code : 504973

Dear Sir / Madam,
Sub: Intimation under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (‘the Listing Regulations’)
This is further to our letter dated August 1, 2025 on the schedule of Analyst/ Investor meet. Pursuant to Regulation 30 of the SEBI Listing Regulations, 2015, we wish to inform you that the transcript of the call held with analysts and invest ors on Friday , August 8, 202 5 is made available on the Company’s website at https://www.cholafhl.com/investors/investor -meet .
We request you to take the above on record.
Thanking you,

Yours faithfully,
for CHOLAMANDALAM FINANCIAL HOLDINGS LIMITED

E KRITHIKA
COMPANY SECRETARY
Classification: Public

“Cholamandalam Financial Holdings Limited
Q1 FY26 Earnings Conference Call”
August 08, 202 5

MANAGEMENT : MR. SRIDHARAN RANGARAJAN -- NON-EXECUTIVE DIRECTOR -- CHOLAMANDALAM FINANCIAL HOLDINGS LIMITED
N. GANESH -- MANAGER AND CHIEF FINANCIAL OFFICER -- CHOLAMANDALAM FINANCIAL HOLDINGS LIMITED
MR. V. SURYANARAYANAN -- MANAGING DIRECTOR -- CHOLAMANDALAM MS GENERAL INSURANCE
MR. S. VENUGOPALAN -- CHIEF FINANCIAL OFFICER -- CHOLAMANDALAM MS GENERAL INSURANCE

MODERATOR : MR. PARTH JARIWALA -- DAM CAPITAL ADVISORS LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Q1 FY '26 Earnings Conference Call of Cholamandalam Financial Holdings hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the listen -only mode, and there will be an opp ortunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
Please note that this conference is being recorded. I now hand the conference over to Mr. Parth Jariwala from DAM Capital Advisors Limited. Thank you, and over to you, sir.
Parth Jariwala: Good evening, everyone, and welcome to the Q1 FY '26, Cholamandalam Financial Holdings Limited Earnings Call. From the management, we have ; Mr. Sridharan Rangarajan, Non - Executive Director, Cholamandalam Financial Holdings Limited; Mr. N. Ganesh, Manager and CFO, Cholamandalam Financial Holdings Limited; Mr. V. Suryanaray anan, Managing Director, Cholamandalam MS General Insurance; Mr. S. Venugopalan, Chief Financial Officer, Cholamandalam MS General Insurance.
I'll now hand over the call to the management for the opening remarks, post which we can open the floor for Q&A. Over to you, sir.
V. Suryanarayanan: Good evening. This is Suryanarayanan. Thanks for joining the earnings conference call of Chola Financial Holdings for the quarter ended June '25. I'll now proceed with the overview of the performance for the quarter end ed June. In Q1, in line with the 1/n method of accounting and reporting of gross domestic premium in India, with respect to long -term non -motor business, Chola MS recorded a premium of around INR1,812 crores.
The premium received in advance on long -term n on-motor products was INR102 crores. Together with the reinsurance inward business, the GWP for Q1 was INR1,997 crores as against INR1,945 crores in the corresponding quarter of previous year. In motor, the principal line of business for the company, the m arket share stood at 5.2%. Within motor, the company now has a composition of 50% in cars, 38% in CVs and 12% in 2 -wheelers.
The company secured about 25% of its total motor premium from new vehicles. The expense of management for Chola MS for the quarter stood at 32%, which measured without 1/n works out to 30.4% and is lower than the glide path, the plan approved by the Board and presented to the regulator way back in 2023. The EOM for the corres ponding quarter of previous year was 33.3%. The claims rati o for the quarter at 81% is higher than the corresponding quarter of the previous year.
Recognizing the rising severity in court awards and third -party claims and the continued absence of increase in motor third -party premium for the last 3 to 4 years, Ch ola MS has stepped up its motor third -party reserving during the quarter, which had an impact on the overall claims ratio by about 3.53%.

The quarter's claim ratios in property lines was also impacted by a few large fire claims, which impacted the claims ratio by about 1.78%. This meant that the combined ratio for the quarter was 114.8% and without the 1/n effect at 111.5%. The combined ratio includes the impact of the motor third -party reserving augmentation and the large fire claims, which together is ab out 5.11% for the quarter.
The investment portfolio corpus at over INR18,140 crores, which is excluding the fair value change. The company had mark -to-market gains in both the debt and equity portfolios amounting to over INR690 crores. The profit before t ax for the quarter was at INR145 c

rores
and the return on equity not annualized at 3.45%, solvency ratio at 2.17x as at 30th June is comfortable.
We'll now be happy to take any questions that you may have.
Moderator: The first question is from the line of Sanketh Godha from Avendus Spark.
Sanketh Godha: Sir, 81% loss ratio, honestly, is significantly very high compared to what you historically

reported and even in the COVID times, the number in the worst quarter was around 80 to 83 percentage. So just wanted to understand -- you highlighted that there are 2 things that is one big claims, 1.78 percentage and maybe motor TP reserving you enhance.

So even if I ignore those 2 numbers, you reporting maybe some 77%, 78% kind of a loss ratio seems to be very high compared to what you reported around 70 to 73 perc entage in the past. So just wanted to understand whether things will be better in subsequent quarters? Or if any corrective actions you have taken to bring it back to 70 to 73 percentage in the loss ratio ? That's my first question.

V. Suryanarayanan: Yes, Sanketh, as was remarked in the opening statement, the twin elements of stepping up the motor third -party and the fire losses that impact is about 5.11%. So what we are talking of is 81% minus 5.11%, which is at about 76%.

So this is about 2% to 3% higher than our normal average of anywhere between 72.5% or 73%. The contributing element is of course the elevated loss ratios in the motor OD segment. And of course, many of you have been part of the investor calls of listed and other entities as well. The sec tor has seen even for the larger players, somewhere about 4% to 5% rise in the motor OD claims ratios, which is prevalent in many of the companies that we have seen. We have also had this impact which is there. Some corrective action has been taken. And ge nerally, it is elevated in Q1 and then drops down through the other quarter.

So we only believe that as we move on to the rest of the quarters, we should see some relief coming in, in this space. But otherwise, I think it's fairly normal.

Sanketh Godha: Got it. Got it, sir. Sir, this motor TP reserve enhancement what you did 80.4% loss ratio. So you absorbed everything in the current quarter or you expect this 80.4% to remain as the new normal for a subsequent quarter or will go back to the 70, 72 percentag e kind of number because whatever you wanted to provide you provided in the current quarter itself.

V. Suryanarayanan: It may not go back to that 72% level, but it can be lower than this number. But then, see, what we have to recognize is that the industry has not had any increase over a fairly long period. And the severity inflation is real. Sport awards are going on. So if any company manages to hold on to its TP reserves continuously at that same level for a long period, it only means 2 things. Either t here is a release from the earlier years, or quarterly deviation in loss ratios due to various reasons. Some quarterly fluctuation that they are reflecting in the reported numbers for the quarter. We would leave that to the respective companies. But it is in the context of absence of rise in premium, the right direction for the motor TP is actually to inch up from the earlier levels. And I guess we are doing the right thing in that perspective.

Sanketh Godha: Got it, sir. Sir, but suppose there is a lot of chatter that -- price hike will come and assume it comes, maybe I don't know what the number would be. Is it fair to assume that then there could be a meaningful improvement in the loss ratio because there could be some bit of price adequacy?

V. Suryanarayanan: One could expect that, yes. But then today, while there are press reports talking of the increase from a prospective date, we really have to wa

it and see as to whether it fructifies. But as and when the price increase happens, I'm sure this will get toned down.

Sanketh Godha: Got it. Got it, sir. And the second question which I want to ask is that, sir, last year when you did the reinsurance accepted business at overall company level, it was just 2 percentage of the total GWP.

In the current quarter, it is almost 9 percentage of current GWP. I don't know whether it's a new normal for the full year? That's the first question what I have, whether this is the new normal for the full year, 9 percentage, 10 percentage of the total GWP? Poin t number one.

And second is that in which segments you are seeing this business growing? And related to it, is it because of EOM pressure, maybe to some extent you are doing this business or otherwise, you're seeing a profit -- a very big profit opportuni ty and that's why you're doing it?

V. Suryanarayanan: See, actually, Sanketh, I guess, we can expect this number to be around this level, about 8% to 10% is something that we can expect it through the year. And it is actually a combination. So one, there a re profitable opportunities that also come through. And then incidentally, it may also bring in the EOM advantage and support there, which is what the Board has taken a view and accordingly, we have stepped up the presence in this segment. So it's likely t o be around that 8% to 10% range.

Sanketh Godha: And which segments are driving in reinsurance acceptance, basically...
V. Suryanarayanan: It can be across lines of business, not necessarily in a particular line. It will be across lines of businesses.
Sank eth Godha: Okay. But this is again asking more it will be commercial like property fire and crop predominantly, sir?
V. Suryanarayanan: It will be across lines. See, for instance, the number that you talked, last year, we had something in crop this year, i t can be in other lines. It will be across lines of business.
Moderator: We have a next follow -up question from Sanketh Godha from Avendus Spark.
Sanketh Godha: Only 2 points what I have incrementally to ask. One is on health side, sir, again, hedging mayb e I asked you this question last time also that loss ratios don't see a respite at all because we used to be 70 -ish, now we are 80 -ish. And we told in the past that we have taken corrective price action. Is it largely because PA contribution has come down? Or any other reason why this -- optically the ratios have gone up? That's one thing.
And then the second thing, just wanted to understand on crop side, bulk of our business, if I remember right, was Maharashtra, and Maharashtra probably has gone to AIC t his year. So any outlook you want to give on the growth either on a full n basis or 1/n basis, given crop won't be there in such a big way in the current year?
V. Suryanarayanan: Thanks, Sanketh. I'll first take the crop question. Yes, we are fairly aware that based on the retenders in 3 states, Maharashtra, Bengal and Odisha and the revised pricing at which the business has got concluded, the industry is likely to face almost a INR9,000 crore drop in the total premium in the crop insurance.
And as business has shifted more from the private sector players to AIC to a larger extent, at least in Maharashtra, we are likely to see a drop in premium for multiline players generally and which is already manifested to an extent in the numbers reported by the industr y for July.
Chola MS also had last year about INR500 crores of premium from crop last year, which will not be there for the current year. So this drop annualized is about INR500 crores. We will see it unfold and as at June, it was about INR50 crores and m aybe as at July, it's about INR145 crores.
So this drop will definitely

be there for Chola MS. We are looking at alternate avenues to step up and make good this shortfall. So this is on the crop side.
Sanketh Godha: But sir, related to that, your growth outlook for the company for the full year, if you are okay to share that number? Maybe because last year, GWP what we did was around INR8,300 -odd crores, given INR500 crores -- you are starting with negative INR500 cro res or INR7,800 crores kind of a number, whether we will be able to deliver INR8,300 crores kind of figure again in the current year?

V. Suryanarayanan: That's our intent. we'll have to see. Of course, the competitive intensity in the market is quite high with the kind of discounts and payouts. So we'll have to see that because we are very clear that we won't be chasing top line. So the inherent economic viability of the business is what will drive our appetite. But then, yes, nobody likes to have a drop, w hich is what we will want to work on. So this is on the crop side.
And moving on to the health side question that you had. It is a fact that our volumes in PA have been toned down a bit given the EOM and other considerations, which is also a reason for th e company had related loss ratios. But then we have written some group health in the quarter 1 though, still we continue to be fairly low, probably fourth from the bottom in terms of the group health volume of business.
And there, I should say that perhap s we are also making provisions conservatively there. We will only wait for the time to tell as to how this pans out. So generally, I think we have been prudent when it comes to claims and claims provisioning, which is also reflected in the higher LRs. We will see it as the next quarter unfolds and perhaps at the half year stage, we will have a much clearer picture.
Sanketh Godha: Got it , sir. So basically, just again, simplifying the question that last year, you were at 110 combined. Honestly, first quarte r was a little on the higher side. Is it fair to tell that will you be able to end up a couple of percentage higher than what you reported last year? Or you think you're confident to deliver a similar kind of combined for this year -- in the current year, I mean to say, closer to 110 kind of a number?
V. Suryanarayanan: See, there, you also have to see the change happening in the EOM number. So if you are to go to the slide in Page 46, and we have presented both the expense of management level on a full premium and on 1/n premium. You will see that from 33.3%, it has come down to about 30.4%.
So there is a 2% reduction which has happened in the cost absorption. So our intent will also be to continue and maintain that trend. And when that happens, it can pos sibly start reflecting even on the COR.

Moderator: Ladies and gentlemen, as there are no further questions, I now hand the conference over to the management for closing comments. Over to you, sir.

V. Suryanarayanan: Yes. Thanks for -- thanks to everyone fo r joining in the call. Stay safe. Stay healthy. Thank you.

Moderator: Thank you. On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

Cholamandalam Financial Holdings Limited
(Formerly known as TI Financial Holdings Limited)
Dare House, 234, N.S.C Bose Road, Chennai - 600 001, India Tel: 91.44.4217 7770 -5
Fax: 91.44.42110404 Website: www.cholafhl.com CIN -L65100TN1949PLC002905

November 11, 202 5
The Manager
Listing Department
National Stock Exchange of India Ltd
Exchange Plaza, 5th Floor
Plot No.C -1, Block G
Bandra -Kurla Complex
Bandra (E)
Mumbai 400 051

Symbol : CHOLAHLDNG
The Secretary
BSE Limited,
25th Floor, Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai 400 001

Scrip Code : 504973

Dear Sir / Madam,
Sub: Intimation under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('the Listing Regulations')
This is further to our letter dated November 3, 2025 on the schedule of Analyst/ Investor meet.
Pursuant to Regulation 30 of the SEBI Listing Regulations, 2015, we wish to inform you that the transcript of the call held with analysts and inve stors on Friday , November 7, 202 5 is enclosed and made available on Company's website at https://www.cholafhl.com/investors/investor -meet .
We request you to take the above on record.
Thanking you,

Yours faithfully,
for CHOLAMANDALAM FINANCIAL HOLDINGS LIMITED

E KRITHIKA
COMPANY SECRETARY
Classification: Public

"Cholamandalam Financial Holdings Limited
Q2 FY26 Earnings Conference Call"
November 07, 202 5

MANAGEMENT : MR. SRIDHARAN RANGARAJAN – NON-EXECUTIVE DIRECTOR – CHOLAMANDALAM FINANCIAL HOLDINGS LIMITED
MR. N. GANESH – MANAGER AND CHIEF FINANCIAL OFFICER – CHOLAMANDALAM FINANCIAL HOLDINGS LIMITED
MR. V. SURYANARAYANAN – MANAGING DIRECTOR – CHOLAMANDALAM MS GENERAL INSURANCE
MR. VENUGOPALAN – CHIEF FINANCIAL OFFICER –

CHOLAMANDALAM MS GENERAL INSURANCE

MODERATOR : MR. MAYANK MISTRY – JM FINANCIALS

Moderator: Ladies and gentlemen, good day, and welcome to the Cholamandalam Financial Holdings Q2 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorde d.

I now hand the conference over to Mr. Mayank Mistry. Thank you, and over to you, sir.

Mayank Mistry : Thank you, B hoomika, and good afternoon, everyone. On behalf of JM Financial, I welcome all the participants on the call and thank the management of Ch olamandalam Financial Holdings Limited for giving us the opportunity to host this call. For today's call, we have with us Mr. Sridharan Rangarajan, Non -Executive Director, Cholamandalam Financial Holdings; Mr. N. Ganesh, Manager and CFO, Cholamandalam Fina ncial Holdings; Mr. V. Suryanarayanan , Managing Director, Cholamandalam MS General Insurance; and Mr. Venugopalan, CFO, Cholamandalam MS General Insurance.

I now hand over the call to the management for the opening remarks, post which we can open the floo r for Q&A. Thank you, and over to you sir.

V. Suryanarayanan: Good evening. This is Suryanarayanan from Chola MS General Insurance. Good evening to each one of you for joining the earnings call. I'll now proceed with the overview of the performance of Chol a MS for the quarter and half year ended September '25.

To begin with on the top line, in line with the 1/n method of accounting and reporting of GDPI with respect to long -term non -motor business, Chola MS recorded a gross direct premium of INR1,835 crores for quarter 2 and INR3,647 crores for half year. With t he base effect of 1/n reporting coming to an end in September '25, the growth in business will be visible from Q3 onwards.

Chola MS suffered a loss of crop insurance business consequent to the retender, which impacted the quarter's GDPI by about INR323 cr ores and INR383 crores for the half year. The premium received in advance on long -term non -motor products was INR100 crores for the quarter and INR202 crores for the half year.

This, together with the reinsurance inward business, the gross written premium for the quarter was INR2,221 crores and INR4,217 crores for the half year. In motor, the principal line of business, the market share stood at about 5.3%. Within motor, the company had a composition of 52% in cars 37% in commercial vehicles and 12% in 2 -wheelers.

The company secured about 23% of its total motor premium from new vehicles. The expense of management for Chola MS for the half year stood at 30.5%, which measured without 1/n works

out to 29.1% and is lower than the glide path plan approved by t he Board and presented to the regulator.

The AUM for the corresponding half year of the previous year was 32.7%. So we have seen a 2.2% reduction from the corresponding period. The claims ratio for Q2 and H1 at 81.9% and 81.5% are higher than the levels i n the corresponding periods of the previous year. The motor OD claims ratio has been higher and also reflects the competitive intensity in the industry.

Chola MS continues to be prudent and conservative in its provisioning for motor third -party losses wit h the level of provisioning a good 10% higher than many of its peers. Recognizing the rising severity in quote awards in third -party claims and the continued absence of increase in motor third -party premium for the last 4 years, Chola MS, as mentioned in t he earlier call as well, stepped up its motor thi rd-party reserving in the year.

This has rendered the overall company claims ratio higher th

an the corresponding period by 2.31% for Q2 and over 3% for the half year. Consequently, the combined ratio for th e half year was at 115.3% which without the 1/n effect stands reduced to about 112.1%. This 112.1% includes the 3% arising from the motor period third -party provisioning.

The investment corpus as at the half year was over INR18,380 crores, and the company had mark -to-market gains in both the debt and equity portfolios amounting to about INR500 crores. The PBT for the half year was INR266 crores with the return on equity not annualized at 6.2%. Solvency at 2.112x is comfortable. We will now be happy to take any questions that you may have.

Moderator: Thank you very much. The first question comes from the line of Ravi Purohit from Securities Investment Management Private Limited. Please go ahead.

Ravi Purohit: Sir, if you could kind of give us some sense of how the market has been lately. I think because of the GST cut, there has been a significant uptick in the auto sector. So how does that kind of translate from our point of view, given that the first half has been pretty tepid for us in terms of growth of the overall premium. Of course, you mentioned that because we lost some agri business. But in the second half, how does that look at the ground level? .

V. Suryanarayanan: Yes. Thanks, Ravi. So let me take it in 2 parts. The first half indeed was tepid arising from 2 reasons. One was the crop loss that I talked about. And second was the 1/n effect of INR200 crores not getting reported the way it used to be in previous period s. That at least will now come to a level comparison as we get into quarter 3 and in October.

The crop, we have digested a good portion of the deficit that we had written last year. So there will be some more about at best another INR150 crores, which will get impact the growth in H2 . The 1/n impact will not be there in H2 of this year. So therefore, the drop from here on is not going to be that steep.

Second is the effect of GST, definitely, as we have seen automobile sales has been quite strong in the m onth of October. And we did put out our numbers, the industry numbers are out there. The private sector in the month of October had a degrowth of 1.5% overall .

Chola MS had a growth of 5.4% in the month of October, which means that our YTD, year -to-date d egrowth that we had reported at the half year is now getting reduced as at YTD October. So it is things are looking up. And we only wait to see if the momentum in the auto sales sustains in the month of November, December. Of course, Q4, January to March, definitely, there will be a strong push. So we only wait to see if the sales sustain, I'm sure we will have a good business growth.

Ravi Purohit: I think we started doing our calls on a quarterly basis a few years back, right? Earlier, we used to do maybe once in a year, and then we started doing the quarterly calls. And at that point of time, I think we had kind of mentioned about getting our combined ratio c loser to, let's say, 105% or so?

It's been persistently higher. If you could kind of share some in sights into how should we see our combined ratio over the next 1 or 2 years and things that are in our control, right? It has been a competitive market, but there are companies whose combined ratios are lower than ours. Is there anything that you could kin d of share on the steps that we are taking to kind of bring this down?

V. Suryanarayanan: Yes. So we will not talk about the competition's combined ratio or what is shaping it. So I think that's outside the ambit and scope of this particular call. We would rather stick to what we are trying to do and what is shaping our combined ratio at this point in time.

In my opening remarks, I did talk about the motor third -party reserving that we are adopting at this point in time.

And I did mention in the call that our reserving level that what we are doing is at least 10% higher than many of our peers. And in our book, that translates into an effect of at least 3% on the CoR. If without 1/n, if I'm talking of 112, so that means that the correct CoR on a comparative basis, this comes down to about 109.

Now going to your question on how much we can improve from this level of 109. It needs to be noted that we have been conservative in accounting our RI commission on long term policies since the introduction of 1/n. While prior to 1/n introduction, cessions and RI commissions were accounted on full premium basis, after 1/n, both are getting accounted on 1/n basis which means lesser RI commission.

For instance, when 1/n came in, our cessions reduced, and therefore, our reinsurance commission also got deferred. Now actually, as we go along and when this 1/n premium starts coming into the P&L segment, our reinsurance commissions will also start going up, and we should see a bounce back into the overall profitability.

But one area of concern I should admit, has been the way the motor OD loss ratios have been moving up both for the industry and particularly for Chola MS. We are seized of the problem and have taken several corrective measures. One of the measures which will certainly reduce the loss ratio is also arising from the GST change.

Chola MS has got a larger proportion of motor business f rom commercial vehicles. I did mention that we have about 37%. Now the GST change that is coming in, in terms of the GST on parts prices, coming down from 12% to 5% will also give us some advantage as we go along as the severity of the claims will now go d own.

So that will be a small positive, which will come in, which will also help. And of course, the other corrective measures that we have put in place and it should bring the loss ratios to a lower level.

Ravi Purohit: Okay. And sir, just one observation . In our presentation, we give this breakup of investment book, right? And historically, we had moved a significant portion of our investment book into AAA rated and government security bonds, right?

Lately, in the last 2 quarters, I've seen PSU/corporate bonds going up significantly and government securities coming off. So just wanted to kind of get your thought -- I'm assuming these are still all AAA rated. But if you could just kind of share some -- is there a change in how we are kind of allocating our investment book?

Venugopalan Srinivasan

Our investment book earlier used to be very heavily loaded towards the government securities as you rightly talked about. But we have strengthened our investment ma nagement team and other risk management aspects rela ting to Investments . I think you know very well that interest rate yield for government securities and corporate bonds are comparatively higher for corporate bonds . We moved into a level of more towards the corporate bond in order to increase the yield on the investment book.

That's the thing. But what we are doing very clearly is not to reduce our rating profile on those corporate bonds. We are only looking at those profiles which are high in terms of the rating and as well provide higher yield compared to Govt securities . So, we are not diluting anything on the security aspects on those corporate investment book. That's the philosophy on which we moved. And altogether, we are slightly above 40% on government securities portfolio even now. The threshold is minimum 30% governm ent securities as per investment regulation and we are at 40% around currently .

Ravi Purohit: Okay. And last question, sir. I think in the last few calls also I had asked you generally what is our long -term goal for -- from return on equity point of view. And I think FY '25, we did cross 18% and prior year was about 15 -odd perc

ent, right? This year looks like it is below the first

half at least. But would you kind of still stick to what you had mentioned earlier that we should remain in the 16% to 18% ROE b and in the near future?

V. Suryanarayanan: Yes, that is the direction with which the management team is certainly working for, and we certainly expect to get closer to those levels.

Moderator: The next question comes from the line of Sanketh Godha from Ave ndus Spark.

Sanketh Godha: Sir, this INR570-odd crores of reinsurance accepted business what you did in first half. Can you just give the color of that business? Is it predominantly sitting in crop given we lost it on direct. We started doing it on reinsur ance or it's more towards commercial lines? Just wanted to understand the color of that business. And how profitability of that segment has played out in 1H, given we did a little more than usually what we do in the past?

V. Suryanarayanan: Yes, the volume is a little higher than what we used to do in the past. And it is actually the volume is spread across lines of businesses. We do have in property; we do have some in crop. We do have some in motor, and we do also have a good portion arising from the group health business. So it is across multiple lines of business. And I wish to say that the economic combined ratio of this business is better than th e combined ratio on the core business. So it only operates to bring down the overall combined ratio.

Sanketh Godha: Okay. Understood, sir. But sir, if the float in that business is a little lower and even if the combined is closer to 100 then from ROE poin t of view, it might be still depleting compared to the leverage benefit what we get from the direct business, especially from TP. If I can ask on ROE basis, still it is ROE equity.

V. Suryanarayanan: I would broadly tend to think that it is ROE neutral. I would tend to think that the problems and the difficulties now is more in the motor line of business than anywhere else. Of course, you have attended other companies' calls as well, and you know the kind of combined ratio levels that are getting operated i n the industry.

And the problem is further accentuated because of our own stance and prudence with respect to the TP reserving. But then the effect is still there when it comes to the combined ratio and

naturally the ROE.
Sanketh Godha: Will it continue t his reinsurance strategy going to or it's more tactical for the current year? Or if I can ask whether EOM played a role for you to go a little aggressive on reinsurance acceptance?
V. Suryanarayanan: It is like it's an overall package, Sanketh, and I know this is a question that you have been asking of other companies as well in different ways and people have proceeded to answer it in their own fashion. So it is a tactical move and also from EOM perspective also the fact that we did lose the crop business, so did others, whic h is where that has come about.

But the thing that we are seeing it positive is apart from the effect that it helps us on the EOM, we have also used this opportunity to really cut down on our commission even in our core business and whi ch is what should help the company going forward.
Sanketh Godha: Understood, sir. Understood. And the second thing I wanted to check with you, if given that we are very strong players in benefits, long -term health and PA, given these numbers have declined for the last 3, 4 consecutive quarters even if I do this math on any basis, have we seen still a decline or the decline is predominantly because of 1/n the thing I wanted to understand is that if the reporting would have been on n , the health and PA segment would have grown or declined for us?
V. Suryanarayanan: There will still be a margin

al decline, but we have to continue to the growth in this segment which is economically a viable business . And still our benefit mix, if you were to look at on the overall health business, it would still be at around close to ar ound 40% and it has come off from the level of 46%, 47% that used to be in earlier years. It's come to 40% now, but it is still there.
Sanketh Godha: Okay. And given now I'm assuming the EOM is under control, whether this piece will do -- again, asking on 1/n basis will be better going ahead or it is a conscious decision because commercials are not working in your favor, so that's why you chose to slow it down?
V. Suryanarayanan: Yes, because see, this is the last year of the glide path and one had to move down to confirm to the glide path commitment . So that is also a tactical call in that respect. But as I started off in the opening remarks on full premium basis, you would notice that our cost is now lower than glide path and accordingly, the EOM is at abo ut 29 p ercentage something, which also now even lower than from a glide path perspective, there is some leeway for us to take business, good profitable business and which is what we will proceed to do in H2.
Sanketh Godha: Understood. Understood, sir. Sir, another question was on motor, which you touched upon that loss ratios are a little elevated because of the competitive intensity. Now, given GST cut has happened, your IDV which will come down, cla ims will remain where they are.
So is it fa ir to say tha t Central Kariba the loss ratios will deteriorate, maybe new product mix might improve the loss ratio. But in general, directionally, maybe you will benefit from the float or investment book. But on combined or loss ratios, these numbers will look a little more poorer than what we are reporting for you or for the industry because of the IDV cut?
V. Suryanarayanan: See, the IDV change arising out of GST is more prevalent in the new business. The older vehicles, the changes in IDV hasn't really happened as yet. And I'm takin g this position even as at, say, closer to mid -November. That is how it is getting played out in the industry. And I did mention that our total share of new business is somewhere around 24%, 25%. So the 75% of the business is not undergoing a change on the IDV at this point in time. So that is the situation.
Sanketh Godha: Sir, this 83% losses form OD function, which is uncomfortable moments from your perspective also. So if you give any concrete measures what you have taken exactly this number to improve

going ahead and what likelihood this number will improve despite to despite the competition signed this?
V. Suryanarayanan: See, our point is that in H2, if you were to look at, we would certainly want this number to at least come down by about 5 percentage points for H2. And that will coming in from the other changes that we have made. So that is the prediction that we are trying to make for H2 going by the effect of the changes that we have now put in place. And that is what we said.
Sanketh Godha: Underst ood, sir. But in general, I'm saying that you were always like 71%, 72% loss ratio company, even if I negate the impact of what you call additional reserving what you have done for TP. Now you still look like more 78%, 79% combined loss ratio company. Mayb e you got a benefit of expense?
But is it fair to say it's a trade -off that expense comes off at the expense of loss and therefore, you end up at the same combined. So just wanted to understand that the way I need to understand

because expense ratio impro vement got reflected in higher loss ratio. So that's the reason I'm asking it and both can independently so tha t everyone combines and improve?

V. Suryanarayanan: They can move independently. And see, this is a stance that we have taken with respect to mo

t or third -party provisioning. Of course, all efficiencies towards securing the actuals at much lower levels is on by way of a higher proportion of compromise settlements, where I should say that the company is doing well even at the half year stage. So agai n, we will take a closer look at how things shape up and maybe by December and again in March, so we could look at a more pragmatic situation there.

Sanketh Godha: Lastly, on leverage, I'm just asking this may be this could be repeti tive for you. Typically , we enjoy the high leverage of 6. 1, 6.2 kind of leverage. Now it has fallen from 6, still very healthy compared to the industry standard, but has fallen. So again, is it safe to say that your defocus on long-term plan have let to lower leverage that we di d not get so much of advantage in the combined. So net-net that leverage benefit what was there in the ROE did not play out at the expense of year end management -- is it fair to think so?

V. Suryanarayanan: In a way it is true because somewhere mentioned in the presentation deck that there is a very conscious move with respect to the 2 -wheeler business that's a view that the Board has taken. And when you do write the new 2 -wheelers on a 1 plus 5 basis, so there is a cash accretion that happens. B ut then the worry is in the context of absence in pric e increase , is it really worth taking on a risk for 4 and 5 years from now? And what is absolutely certain is the inflation running at whatever level in terms of the compensation level.

So it is a nece ssary trade -off between whether you want to have an attrition and have investment book and earnings now and then liability really getting deferred into the subsequent years. So that's the call that the Board really took and that's what is driving. It is on Page 55. If you look at it, we'll say growth in OD premium and degrowth in TP premium and primarily conscious reduction of volumes in 2 -wheelers. So if you look at it even in the motor book, while we have

a OD market share of 6.3%, we have actually brough t down from 5.4% to 4.7% in motor TP. So that is what is impacting the leverage.

And this, I would tend to think is more tactical because it's not that we have lost any channel or anything. So it's more a question of what we and how we choose to source. O f course, there is always talks of an impending PP price increase. We never know when it is going to happen. The sooner it happens, it's better. And then things can certainly pivot back.

Sanketh Godha: Understood. So but likelihood -- maybe that's my last question actually, the likelihood of TP price hike. Will you see the light in the current year or you are hopeful at least part of the next fiscal, we'll see a price hike?

V. Suryanarayanan: I would tend to think that industry will be very happy even if it comes in from April 1. But then the necessity, the preliminary steps will have to be taken now to make it effective from April.

Moderator: Ladies and gentlemen, as there are no further questions, I would now like to hand the conference over to the managem ent for closing comments.

V. Suryanarayanan: Yes. Thanks to everyone for joining the conference call. The management is committed to taking the company forward, both in terms of growth and profitability. Thank you.

Moderator: On behalf of JM Financial, tha t concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Feb 2026

Cholamandalam Financial Holdings Limited
(Formerly known as TI Financial Holdings Limited)
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Fax: 91.44.42110404 Website: www.cholafhl.com CIN -L65100TN1949PLC002905

February 13, 2026
The Manager
Listing Department
National Stock Exchange of India Ltd
Exchange Plaza, 5th Floor
Plot No.C -1, Block G
Bandra -Kurla Complex
Bandra (E)
Mumbai 400 051

Symbol : CHOLAHLDNG
The Secretary
BSE Limited,
25th Floor, Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai 400 001

Scrip Code : 504973

Dear Sir / Madam,
Sub: Intimation under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('the Listing Regulations')
This is further to our letter dated February 2 , 202 6 on the schedule of Analyst/ Investor meet. Pursuant to Regulation 30 of the SEBI Listing Regulations, 2015, we wish to inform you that the transcript of the call held with analysts and inve stors on Monday , February 9, 202 6 is enclosed and made available on Company's website at https://www.cholafhl.com/investors/investor -meet .
We request you to take the above on record.
Thanking you,

Yours faithfully,
for CHOLAMANDALAM FINANCIAL HOLDINGS LIMITED

E KRITHIKA
COMPANY SECRETARY
Classification: Confidential

"Cholamandalam Financial Holdings Limited
Q3 FY26 Earnings Conference Call"
February 09 , 202 6

MANAGEMENT : MR. SRIDHARAN RANGARAJAN – NON-EXECUTIVE DIRECTOR – CHOLAMANDALAM FINANCIAL HOLDINGS LIMITED
MR. N. GANESH – MANAGER AND CHIEF FINANCIAL OFFICER – CHOLAMANDALAM FINANCIAL HOLDINGS LIMITED
MR. V. SURYANARAYANAN – MANAGING DIRECTOR – CHOLAMANDALAM MS GENERAL INSURANCE
MR. SANTOSH PANDEY– CHIEF FINANCIAL OFFICER – CHOLAMANDALAM MS GENERAL INSURANCE .

Moderator: Ladies and gentlemen, good day, and welcome to Q3 FY '26 Cholamandalam Financial Holdings Earnings Conference Call hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing sta r then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Parth Jariwala from DAM Capital Advisors Limited. Thank you, and over to you, sir.

Parth Jariwala: Thank you. Good afternoon, e veryone. Welcome to Cholamandalam Financial Holdings Limited Q3 FY '26 earnings call. From the management, we have Mr. Sridharan Rangarajan, Non - Executive Director, Cholamandalam Financial Holdings; Mr. N. Ganesh, Manager and CFO, Cholamandalam Financial Holdings; Mr. V. Suryanarayanan, Managing Director, Cholamandalam MS General Insurance; Mr. Santosh Pandey, CFO, Cholamandalam MS General Insurance.

I'll now hand over the call t o the management for their opening remarks, post which we can open the floor for Q&A. Over to you, sir. Thank you.

V. Suryanarayanan: Thanks. Good afternoon to all of you who have joined the earnings conference call. I welcome Santosh Pandey to the call, w ho has joined us as the Chief Financial Officer. He's taken over from Mr. Venugopalan, who retired as of 30th November 2025. Santosh joined us in the month of August 2025 and comes with the prior experience with the Aditya Birla Group.

I shall now proceed with the overview of the performance of Chola MS for the quarter and 9 months ended December 2025. In line with the 1/n method of accounting and reporting of GDPI with respect to long -term non -motor business, Chola MS recorded a GDPI of INR2,067 crores for Q3 and INR5,714 crores for the 9 months period.

Chola MS has suffered the loss of crop insurance business consequent to the retender, which impacted the quarter's GDPI by about INR84 crores and cumulatively by INR467 crores for the 9 months. With the ba se effect of 1/n reporting coming to an end as at the end of Q2, the growth in non -crop business is visible from Q3.

The premium received in advance on long -term non -motor products was INR103 crores for quarter 3 and INR306 crores for the 9 months period. Together with the reinsurance inward business, the GWP for Q3 was INR2,338 crores and INR6,555 crores for the 9 months period.

In motor, the principal line of business, the market share stood at 5.25%. Within motor, the company had a composition of 1% in cars, 38% in CVs and 11% in 2 -wheelers.

The company secured about 25% of its total motor premium from new vehicles in quarter 3. The company has adopted a cautious stance with respect to growing the 2 -wheeler book, particularly new vehicles in the context of the absence of motor third -party premium increases over the last 4 years. The EOM for Chola MS for Q3 stood at 30.63%, which measured without 1/n works

out to 29.27% and is lower than the glide path plan approved by the Board and presented to the regul ator.

The EOM for the corresponding quarter of previous year was 33.76%. The claims ratio for the quarter and year -to-date were at 80.5% and 81.1%, which is higher than the levels in the corresponding periods of previous year. Motor OD claims ratio has be en higher and also reflects the competitive intensity in the industry.

Chola MS continues to be prudent and conservative in its provisioning for motor TP losses with the level of provisioning a good 12% higher than many of its peers. Recognizing the risin g severity in motor third -party claims and the continued absence of incr

ease in motor third -party
premium for the last 3 to 4 years, Chola MS stepped up its motor third -party reserving in the year. This has rendered the overall claims ratio higher than the corresponding period by about 3.05%.

Consequently, the combined ratio for 9 months was at 116.2%, which is 113% without the 1/n effect. The combined ratio of 113% includes the impact of motor third -party reserving, which is 3.05%. The investment corpus a s at December was over INR18,700 crores, and the company had mark -to-market gains of INR162 crores in debt and INR294 crores in the equity portfolio. The profit before tax for the 9 months period was at INR346 crores after absorbing the labo ur code -relate d gratuity provisioning impact, which was about INR7 crores. The ROE for the 9 months was at 7.9%, not annualized. Solvency was at 2.04x as of December. We'll now be happy to take any questions that you may have.

Moderator: The first question is from the line of Rachna from SCIL Ventures.

Rachna : Sir, we had discussed earlier our ambition to sustain ROEs in the 16% to 18% range. Given the current non -annualized ROE at 8%, along with some pressures on loss ratios as well as competitive environment, specifically in motor OD and TP business. Could you please share your thoughts on factors that led to decline in ROE and our plans to improve returns and move back towards the guided 16% to 18% range over the medium, long term?

V. Suryanarayanan: See, clearly, the motor OD loss ratios is one aspect, which has been going north for the industry. And of course, the numbers of some of the listed entities and others are already available in public domain. One can notice that the -- over a period to period, 9 months to 9 months or even if one were to compare the corresponding -- with the corresponding quarter, we can see that numbers have gone up by 6% to 7% in the motor OD loss ratios for almost all players.

For us, it's been a tad highe r. When it is 6% to 7% for others, we have had an 8% to 9% increase in ours. So that is something which we are working at restoring back efficiencies across the operating paradigm. But this is the overhang in which the industry is operating at this point i n time.

While that is on the OD loss side with respect to 11 the motor third party, our provisioning, as I had mentioned even in the initial remarks, is clearly about even 14% higher than what

competition has been providing. And that differential is what i s reflected in the overall combined ratio as well as the -- ultimately, even the return on equity. So this is broadly the situation.

And of course, in motor third party, these are provisions at this point in time. And these are not actual cash outflows or an actual incurred loss, but what we have been providing based on the actuarial estimates and the view of our appointed actuary on this subject.

Rachna: So sir, our plans to improve ROEs, if you could elaborate on the efforts we are taking ?

V. Suryanaraya nan: See, this has also been a year where we have been converging to the expense of management glide path. You would notice that even from the initial remarks as well as the data that is put out in Page 46, you will find that the EOM is now at about 30.6%, even at a very extended method of reckoning. And on a full premium basis, which is how we used to measure previously, it has come down to about 29.3%.

So now therefore, with the passing of this year, we should be able to get back to our normal growth path. Plus this year, we were also impacted by the loss of crop business, which was operating at a combined ratio of about 95%. So the loss of that business , which is, as I mentioned, about INR470 crores up to the 9 months, is also impacted. But now next year, we will have a new season tender, which will be across the country.

And for a 3 -year tender,

the company will be participating and hopes to be back in the crop business units framework next year, which should bring back the profitability related there too and bring the combined ratio under control with obvious improvements in the ROE as well.

Rachna: Okay. One more question. This is a data -related quest ion. If I look at the profit before tax numbers for Chola MS, it is for Q3 FY '26, it's around INR79 crores, if I refer to the report of Chola MS. But the [Inaudible 00:11:47]...

V. Suryanarayanan: Sorry, we missed you. We're missing you …

Rachna: Hello, th is is Rachna.

V. Suryanarayanan: Yes, we're missing you.

Moderator: As there is no response from the participant, we'll move to the next. The next question is from the line of Sanketh Godha from Avendus Spark.

Sanketh Godha: Sir, honestly, it's the same qu estion probably on the combined ratio. If I look at your numbers 9 months to 9 months, even if I assume that your motor TP, you have been conservative, there is a possibility of a reversal going ahead. Then the 2 segments which gave the most pain is OD and health and PA on delta change compared to last year to current year. So motor, you already told in the call that you took a corrective action with respect to not chasing 2 -wheelers.

Despite not chasing 2 -wheelers or taking corrective actions, still our OD loss ratios are higher. So is it fair to say that if the competitive intensity remains the way it is, then are we seeing any respite to happen because one leg of corrective action you have already taken. That's the way I wanted to understand whether there is any room left over further to take any corrective actions. And honestly, maybe I asked this question last time also.

On health, maybe the loss ratio being 14% is higher compared to the last year. Any way to improve it? Maybe in EOM compliance, we prob ably do a little more group health. we probably ended up with more combined rather than improving the combined. Any thoughts you have how to change it or -- I mean, honestly, if these 3 products are fixed, I think combines might come back. So I just wanted to understand this part a little better.

V. Suryanarayanan: Yes. So I think I would draw your attention more to Page 55 first and then come back to Page 53. So Page 55 -- no, the waterfall chart, please. 51, sorry. Yes, 51. See, this waterfall chart highlights as to how the profits have moved from last year to current year. Obviously, the green ones are self -explanatory. So what we have achieved in terms of EOM reduction or what has come by way of investment income, they was not there.

The effect of the TP -linked provisioning vis -a-vis last year is about INR150 crores. And that essentially is the difference between the ultimate numbers for this year and last year . So if we are at INR346 crores plus INR150 crores is INR596 crores, so which should have got -- kept it there. And then if you have to look at increase in LR, which is the non -motor TP LR, which is largely impacted by the motor OD component there, which i s where we do expect improvements to come in because of the corrective steps taken.

The decrease in RA commission for the full year is at INR60 crores because the effect of 1/n means that we are not ceding future premiums, and therefore, the commission wil l come, but it will come in the subsequent years and not get upfronted in the current period income. That is where the position is. And the impact of our inward arrangements, which is has incidentally brought our EOM structure down, but it has had its effe ct on cost and which is what is reflecting.

So I also mentioned about the loss of crop business, which is running at a 95% COR, which also -- the impact of that is also included in that INR76 crores of increase in LR non -motor TP. So currently, it's a com bination of 2, 3 thing

s. But the single large effect is what we have been providing is the increase in TP -linked provisioning, which is INR150 crores for the 9 months.

And as we see the improvements actually pan out, on the operational side, the company h as been as efficient as ever in terms of its compromise settlement proportion and the actual severity jumps that we have seen in the 9 months as compared to earlier periods. So at the appropriate time in future, we should be able to make a calculated call on what is actually required and they can then flow back into the P&L in due course.

And now I will go back to the OD loss ratio slide, which is Page 53. Now you will notice that this is the effect that is causing on the motor TP from 71.3% of last year t o 78.9%. This is our loss ratio for motor TP. And if you were to compare with the published numbers of motor TP of competition, even making allowances for geography mix that we may have and others may have .

We certainly see that what we are carrying is a r eserve conservative stance that we have taken at this point in time. We will wait to see as to how this actually pans out. And when it comes to the motor OD, I certainly see a reduction of at least 3% to 5% over the next 2 quarters.

Sanketh Godha: Understo od. But sir, within the motor part, given you scaled down the 2 -wheeler business, the pain is more in CV segment or car segment, which is leading to this little elevated numbers. From...

V. Suryanarayanan: 2-wheeler -- actually to clarify, Sanketh, the 2 -wheeler perspective is more from a TP perspective rather than a OD perspective because the OD is invariably only 1 plus 5. It is only 1 year's OD. And technically, the OD loss ratios in 2 -wheeler is much, much lower. But the call is that if you are writing for 4, 5 years for the future now and at the price that you are collecting today, the accident may happen next year and in each of those 4 years, it can happen.

And based on the accident year, there will be year -on-year increase in severity plus the view that comes out in the minimum wages already the central government is talking of a revision in central minimum wages to INR25,000, then the compensation levels will certainly go up. So unless there is a fundamental shift in the mo tor TP pricing that one makes for 2 -wheelers, our call is that it may land and it may flex the future if you have to write that business now.

We could have written it. We would have had a good accretion in the investment corpus. We

would have had an inves tment income, but the liability that you will have to provide in the respective 4 years of the future would certainly have gone up. And that is the call that we have taken with respect to pruning or slowing down on the 2 -wheeler book now. It is not so much on the OD side, but with a view to protecting the TP of the future is where we have taken this call.
Sanketh Godha: Understood. But sir, in OD, then the pain is more predominantly sitting into cars or vehicles?
V. Suryanarayanan: The pressure is more in cars. The pressure actually is more in cars. And that is where -- in fact, as we even talk to competitors, and we ourselves are fairly large in that space. And even when we talk to peers and players bigger than us, and that's where the pain is seen. And these are reflected even in the published numbers of competition as you see.
Sanketh Godha: But sir, given you said OD will improve back in a couple of quarters' time, then if the competitive intensity is largely there, then any measu res like geographic or vehicle models? I don't know. They're just asking you which can led to that improvement in 3, 4 percentage points, what you just told you -- told on OD side.
V. Suryanarayanan: It is actually some calls with respect to the particular make models that we are playing and to an extent in geography. So

that is where the corrections are happening. And we are seeing those changes in the sourcing. It is not reflected for you in the LRs now, but we have the confidence that it will show up in the ODLRs because the sourcing mix and pattern is changing.
Sanketh Godha: Understood, sir. And maybe on the health and PA part, again, that was also a pain point in my view, given you and other segments actually may not be that much pain...

V. Suryanaraya nan: This is to do with also -- I did show you in Page 51 on account of the impact by way of some RI arrangements, which is included -- and that is what is impacting this LR. And which is what even in this Page 53, we have indicated that includes effect of reinsurance in transactions.
Sanketh Godha: Understood, sir. And then sir, given now we are largely EOM compliant even on one -by-in basis, is it fair to say that you will probably revisit your decision to do a little more long -term health or PA in general , which probably I think in the current year slowed down a bit from an EOM perspective?
V. Suryanarayanan: Yes, we should be looking at such opportunities again now that we are closer to the regulatory requirement of the EOM levels. We should be looking at it.
Sanketh Godha: Understood, sir. And given our current experience in RI inward has been not as great, given we reported a loss or it was a drag on the profitability. Will we continue to do that business, say, next year or we will revisit in the strateg y, which we adopted in the current year to do RI inward business?
V. Suryanarayanan: So we will be more careful on the choices of business lines where we do it. That change will happen. So that change will happen. And then fundamentally, see, as I said, we 've lost about -- overall about INR590 crores of crop business this year. INR467 crores is already digested in the 9 months and INR124 crores will -- we will take that reduction in Q4.
So when -- so there has to be some rear guard action, which we had to take. And hopefully, when the new tender cycle opens, we can probably get more crop business under the scheme, which can help bring back a whole lot of reasonableness to the entire number. So it's actually a heavy mix of 3, 4 different factors all operatin g together.
One is the crop business loss. Second is the stance that the provisioning that we have done for motor third party, which is significantly higher than what many others have opted to do. Three is the motor OD effect, which has happened in the in dustry. So I think these 3 have combined together to have leave us with this impact.
Sanketh Godha: Sir, then suppose next year, you win crop and you end up with that same 95% combined in crop incrementally and your motor OD, I mean to say, improves by 4, 5 percentage next year compared to what you're reporting today.
Then is it fair to say that even if you continue to provide the TP at 78%, 79% kind of a number, still a 4%, 5% delta improvement in the loss ratio compared to 81% what you are reporting can happen next year, sir?
V. Suryanarayanan: No. See, the proportion, you will have the OD proportion to the total. For us, because of motor heavy focus, the TP component weight will be there. But you can expect that a good portion to come back into the overa ll loss ratio. Certainly, I think no reason why from an 81.1%, it can't go back to, say, 77%, 77.5% at least. That is very much certainly possible.
Sanketh Godha: Understood, sir. And sir...

V. Suryanarayanan: Without even considering -- just a minute, San keth. So without even considering the possible effect of the surplus provisioning that we may be making at this point in time. When we have a good measure of that, I'm sure it will again come back into the P&L.
Sanketh Godha:

Yes. Understood, sir. Understo od. And sir, maybe it's a million -dollar question. On likelihood of PP price hike, I'm not sure whether you'll be in a position to answer it or...
V. Suryanarayanan: We have been guessing and then talking of this, the industry itself has been talking of this for now almost 3 to 4 years. But the only -- I don't know, the positive element that we see is that in the proposed motor vehicle amendment bill, the government is thinking of giving the power back to the regulator for making the pricing co rrection. So it is there in the draft amendment bill. Hopefully, if that comes through, then probably the regulator may take a sympathetic look on this.
Sanketh Godha: Understood. Sir, again, maybe because TP has been a pain, if tomorrow, hypothetically th ere is no price hike, given we are seeing too many complaints regarding the expenses what insurance companies do to procure the business and regulator probably ask you to cut the commissions and better save there rather than increasing -- asking for a pric e hike, then is it fair to say that your TP loss ratios will remain at the current level or it can further increase?
V. Suryanarayanan: See, at least because we have taken the provisioning, which is higher now. So we are probably -- I would tend to think t hat we will be in a better position. So because we would have then advanced that absorption. So we would probably be in a better position there. That's how I would tend to look at it.
Moderator: The next question is from the line of Rachna from SCIL Ventur es.
V. Suryanarayanan: She was the one who had earlier asked.
Rachna : Yes. Just a data -related question. Why there is a difference in profit before tax for Chola MS General Insurance. See, if the PBT reported in Chola MS report is for Q3 FY '26 is around INR79 crores. And the PBT reported for the insurance business in our parent company, Chola Holding s is INR123 crores. So just wanted to understand the reason between the -- difference between these 2 numbers. If you could please help me understand ?
V. Suryanarayanan: Santosh, can answer this?
Santosh Pandey: Thanks Suri, Rachana, for general insurance compa nies, the stand -alone books are prepared basis the iGAAP norms. Insurance company have not yet moved to IFRS. However, the holding company is on the IFRS being a CIC . So their profit is computed as per the IndAS accounting standard. That's the reason you are seeing a difference in terms of the profitability shown in Chola statutory book versus the holding company financials.
Under IndAS, most of t he mark -to-market of investment value, everything goes to the P&L, especially relating to the equity. That's the reason there's a higher profit . So there's a different

accounting regime for IndAS versus iGAAP . That's the reason profit is different for Hold ing company consolidated financials as compared to standalone financials .
Moderator: The next question is from the line of Manish Beria from Sasvat Vridhi LLP .
Manish Beria : So I just wanted to check in case there is a price hike in the third party and si nce you have done more provisioning right now, so is it fair like a lot of this provisioning will come back, it will be reversed? This is the first question. The second question is on the equity proportion of the investment book, probably we are like singl e digit. So is there a chance like in the medium term, can we increase it to, let's say, 15% or something like that?
V. Suryanarayanan: Yes. So the first question first, yes, the TP provisioning can go down in the future based on the way our portfolio actu ally behaves. So while today, it is more precautionary provisioning, so -- and of course, if the price goes up, certainly, I think it will come back. So that's the first part. Second, today, we are equity at about 7%, 6.7% of th

e portfolio.
Our first half would be to take it up to 10% of the portfolio. And then we'll have to see as to where it can go from there. But you will notice that over the last -- in fact, less than 2 years, it's doubled from 3.5% to about -- close to about 7%, so which is where we have come.
Manish Beria: Okay. And the third one is probably just trying to think that many companies are trying to -- insurance companies are trying to list now. I mean, so obviously, we are not that profitable right now, but let's say, in 2, 3 years, probably become more profitable. So then is there a chance that we want to list this company, general insurance company.
Sridharan : I think we have been taking this call and our view is Board of CFHL will take an appropriate

call closer to the time. We hav e not considered anything at this point in time.
Moderator: The next question is from the line of Ravi Purohit from Securities Investments Management.
Ravi Purohit: Most of my questions have been answered. Just one bookkeeping question to understand the numbers better, right? One of the previous participants had asked about this reported numbers difference between what Chola MS reports and what we report under the holding company, right?
So when we report in the presentation, the ROEs of our business, whic h is a more representative number that we should be or you also are kind of -- when you kind of evaluate business performance on a day -to-day basis, which numbers does the team there follow? A lot of general insurance companies have started reporting 2 set s of numbers, IFRS, non -IFRS.
So they want everyone to get anchored to IFRS numbers because of allowance of costs spread out over a long period of time, et cetera, et cetera. So if you could kind of help us and guide us to saying which number should we fo cus on? What is really the true ROE of our business? And what's our long -term view on that?
V. Suryanarayanan: See, the governing framework for insurance company today is only iGAAP . And IFRS, while there is the transition that is going to happen, it is no t yet mandated. So we are only doing

[Inaudible 00:33:31] for an IFRS translation. And where will the big changes in IFRS come through broadly in 3 areas when it comes to discounting of liabilities. And given our motor TP provisioning that we are doing, these are all at the full ULRs.
The positive impact that can come for us from a discounting of such liability, which is time indexed can be quite large for Chola MS part. Second is that we are absorbing all costs upfront today, including those that we pay for long -term policies. So where the business or risk is not even commenced.
So when that again is going to be a positive as and when it comes through. To an extent that, yes, the RA commissions could also get deferred. But then there also, we have adopted only a conservative stance of -- with the 1/n, so you are not even seeding anything that is pertaining to the future, even though costs are being incurred upfront. So these are 2 large positives.
Third is on the investment side, where we are not r ecognizing any mark -to-market benefit and seeing volatility in it. So whichever way you see the numbers, what the company is reporting under iGAAP is conservative -- most conservative is what we would see.
But then we would like the regulations to actually come through before we start talking about the IFRS numbers, which has been our stance. Of course, for the purpose of holding company consolidation, summary workings have been done, which Santosh can explain to you.
Santosh Pandey: See currently players w ho are disclosing IFRS numbers as not 100% IND AS converged numbers but yes they are presenting partially converted numbers . Meaning, they have factored only investment mark -to-market , deferment of acquisition cost to offset impa

ct of 1/n premium
accountin g, aligning deferral of acquisition cost along with premium.
To disclosed IFRS compliant numbers, we need to consider the change in the valuation of liability and others norms . Coming back to our numbers, Chola MS General published all its numbers as per the IGAAP accounting norms , which is prescribed by IRDAI and ICAI for the general insurance company. IndAS adoption has not yet been done for the insurance company in India.
Howe ver, holding company is already with the IndAS and all the numbers reported for the holding company are as per IndAS. So we have computed for the Chola MS as per the iGAAP and as per IndAS -- for the holding company. That's the reason you are seeing the nu mber difference.
Answering to your question, which number is better. At this point of time, we believe all General insurance companies are reporting their statutory financial as the I GAAP norms , so correct number to consider is IGAAP because that's as per the regulatory requirement and the statute book. So standalone number shall be considered.
Ravi Purohit: Yes. So thanks a lot for the clarification. What I really wanted to know is how do you assess internally, right, in the sense whether -- let's say, I think we have long back repeatedly said that we would like to be around the 17%, 18% ROE mark or 16% to 18% ROE m ark. So now when

we see ROEs, we see 2 ROEs between the 2 companies, right? So one is, let's say, what the holding company report based on those numbers and one is what Chola MS reports, right? So which is a true economic ROE, so to speak, right? Whether r egulation allows you to report certain things or not. But from your point of view, if you have to analyze your business and you're saying that this is my economic ROE, which number would that be? And if you could kind of just throw some light on that, it w ould be great.
Santosh Pandey: So for us, if you ask for economic purpose, we always consider the regulatory book numbers are final number , because until the final regulation on IFRS issued by the IRDA , IFRS numbers cannot be considered as appropriate number . But for the holding company consolidated financials , we must consider the IndAS number because they have adopted IND AS .
Ravi Purohit: Okay. So let me ask this differently. When we have mentioned in the previous calls that we would like to be in the 16% to 18% ROE, are we talking about 16% to 18% ROE as per IRDA calculated numbers?
V. Suryanarayanan: Exactly. Yes, which is where we were even last year, we were at 18.3%. It was only under the same framework. Even n ow, I said 9 months, we were at 8.2% at this point in time, not annualized.
Ravi Purohit: Okay. So is it fair to assume that once the transition happens, the true economic ROE of the business is probably closer to 19%, 20% if those positives that you allud ed to earlier get added back to the profit numbers?
V. Suryanarayanan: Definitely, it should be higher only. It can be only higher.
Moderator: As there are no further questions, I will hand the conference over to the management for the closing comments.
V. Suryanarayanan: Thanks once again to each one of you who have participated in the earnings conference call. Certainly, this has been a difficult year so far for the company, but the management is fairly confident that changes will happen, which will put n umbers much better in the ensuing quarters. Thank you.
Moderator: Thank you. On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us . And you may now disconnect your lines. Thank you.

Call: May 2026

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May 15, 2026
The Manager
Listing Department
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Symbol : CHOLAHLDNG
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Mumbai 400 001

Scrip Code : 504973

Dear Sir / Madam,
Sub: Intimation under Regulation 30 of SEBI (Listing Obligations and Disclosure
Requirements) Regulations, 2015 ('the Listing Regulations')
This is further to our letter dated May 1, 2026 on the schedule of Analyst/ Investor meet. Pursuant to Regulation 30 of the SEBI Listing Regulations, 2015, we wish to inform you that the transcript of the call held with analysts and investors on Friday , May 8 , 202 6 is enclosed and made available on Company's website at https://www.cholafhl.com/investors/investor -meet .
We request you to take the above on record.
Thanking you,

Yours faithfully,
for CHOLAMANDALAM FINANCIAL HOLDINGS LIMITED

E KRITHIKA
COMPANY SECRETARY
Encl: As above

"Cholamandalam Financial Holdings Limited
Q4 FY 26 Earnings Conference Call"
May 08, 202 6

MANAGEMENT : MR. SRIDHARAN RANGARAJAN – NON-EXECUTIVE
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MR. N. GANESH– MANAGER AND CHIEF FINANCIAL
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MR. SANTOSH PANDEY – CHIEF FINANCIAL OFFICER –
CHOLAMANDALAM MS GENERAL INSURANCE .

MODERATOR : MR. PARTH JARIWALA – DAM CAPITAL

Moderator: Ladies and gentlemen, good day, and welcome to the Cholamandalam Financial Holdings Q4 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please s ignal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Parth Jariwala from DAM Capital. Please go ahead.
Parth Jariwala: Thank you. Good afternoon , everyone. Welcome to the Q4 FY '26 Earnings Call of Cholamandalam Financial Holdings Limited. From the management, we have Mr. Sridharan Rangarajan, Non -Executive Director, Cholamandalam Financial Holdings; Mr. N. Ganesh, Manager and CFO, Cholamandalam F inancial Holdings; Mr. V. Suryanarayanan, Managing Director, Cholamandalam MS General Insurance; Mr. Rajive Kumaraswami, Managing Director Designate, Cholamandalam MS General Insurance; and Mr. Santosh Pandey, CFO, Cholamandalam MS General Insurance.
I'll hand over the call to the management for their opening remarks, post which we can open the floor for Q&A. Over to you, sir.
Sridharan Rangarajan: So good afternoon to all of you, and welcome to our earnings call. We have our colleagues. I'm happy to intro duce Rajive Kumaraswami, who is well known in the industry, who would take over from Suryanarayanan, who has done an exemplary job bringing Chola General Insurance to a creditable level, and he is also kind enough to address today's earnings call. And sinc e you have got already covered very well Chola Finance side, this call will largely focus on the Chola General Insurance performance side. And then there will be an opening remark by Suri, and then later on, we'll open up for Q&A. Thank you.
V. Suryanaraya nan: Good afternoon. This is Suryanarayanan. Welcome to the earnings conference call. I'll now proceed with the overview of the performance of Chola MS for the quarter and year ended March '26. In line with the 1/n method of accounting and reporting of GDP I with respect to long -term non-motor business, Chola MS recorded a GDPI of INR2,048 crores for Q4 and INR7,762 crores for the year ended March. As you are all aware, Chola MS suffered the loss of crop insurance business consequent to the re -tender, which impacted the quarter 4 GDPI by INR124 crores and over INR590 crores for the year.
With the base effect of 1/n reporting coming to an end as at the end of H1, the growth in non - crop business is visible from H2. Together with reinsurance inward business, th e GWP for quarter 4 was INR2,349 crores and INR8,904 crores for the year. The premium received in advance on long -term non -motor products for the year was INR410 crores with a market share of 3.3%.
In motor, the principal line of business, the market shar e stood at 5.25%. Within motor, the company for the year had a composition of 49% plus in cars, 40% plus in CVs and about 10.5% in 2-wheelers. The company for the year secured about 24% of its total motor premium from new vehicles, which proportion was hig her in cars, moderate in CVs and the lowest in 2 - wheelers.

The company has adopted a cautious stance with respect to growing the 2 -wheeler book, particularly new vehicles in the context of absence of motor third -party premium increase over the last 4 year s. The EOM for Chola MS for the full year stood at 30.46%, which measured without 1/n works out to 29.12%. As you are aware, FY '26 was the last year of the glide path. The company complied with the requirements on 1/n basis.
The company is amongst the to p 3 players in terms of the operating expenses component of the EOM

. The claims ratio for Q4 and the year were at 81.3%, which is higher than the levels in the corresponding periods of the previous year. The motor OD claims ratio has risen for many players in the industry and has been rendered higher for Chola MS, reflecting the competitive intensity in the industry. Chola MS continues to be prudent and conservative in its provisioning for motor TP losses with the level of provisioning -- booked 10% higher than many of its peers. Recognizing the rising severity in court awards and third -party claims and the continued absence of increase in motor third -party premium, Chola stepped up its motor third -party reserving in the year. This has rendered the overall company claims ratio higher than the previous year by about 2.71%. Operationally, our proportion of compromise settlements in motor third -party claims continues to be robust.

Consequently, the combined ratio for the year was at 115.2% and 112.2% without t he 1/n effect. The combined ratio of 112% includes the impact of the motor third -party reserving augmentation. The investment corpus as at end of the year was about INR19,050 crores without the fair value change. The company had a mark -to-market gains of INR137 crores in equity and a deficit of INR112 crores in the debt portfolio as at the end of the year.

As you're aware, the mark -to-market gains position in equity was rendered lower due to the market meltdown from the geopolitical uncertainty. The positi on has reverted to a level of about INR302 crores as of yesterday. The PBT for the year was INR454 crores after absorbing labor code -related gratuity provisioning and a small mark -to-market impairment prov isioning on equity investments.

The return on equity for the year on average net worth was at 10.4% and the 3 -year average ROE peaked at about 14.4%. The solvency ratio was at 1.96x. The Board of the company, after a careful evaluation, has decided that the company will seek forbearance for transition ing statutory accounting to Ind AS from April 1, 2027. This is to ensure a calibrated transition. It is fairly clear that there would be a significant drop in combined ratio in the year of adoption, but would level out over the years.

As was mentioned by Mr. Sridharan, I'm happy to welcome Rajive, an industry veteran, who will be taking over from me effective June 1 in steering the company forward. My heartfelt thanks to all the analysts for their incisive queries and comments, which has kept us on our toe s in all our interactions.

We'll now be happy to take any questions that you may have.

Moderator: Thank you very much. Your first question comes from the line of Sanketh Godha from Avendus Spark. Please go ahead.

Sanketh Godha: Sir, my first question is more on growth. So the GDPI -- actually, the direct premium has declined in the current year. GWP growth is predominantly because of the reinsurance acceptance. Now given we are EOM compliant, will the approach to the business going ahead will be a little different? Whether the focus will be more on direct business? And if that is the case, which lines you will try to recover back a kind of market share to deliver growth in the next year? So that's my first question, sir.

V. Suryanarayanan: Yes. So thanks, Sanketh. As I mentioned in the call, we were impacted b y the loss of crop of about INR 598 crores for the year. And that was the last year of the tender. And as we are all aware, Government of India's guidelines are expected any time and the nex t cycle of tender across the country will open up.

Chola MS will be participating in the crop business across the states. And therefore, what was lost will definitely we certainly hope to get it back in the crop side. And since we've had a good experience over the years on the direct side of crop business, we should be looking at even g

rowing that piece of business.

Sanketh Godha: And any other line of segment, like maybe you chose to slow down even motor segment a bit, especially the OD part. So any revisi t to that business given naturally we are -- I mean honestly, that was the reason why I said EOM compliant, whether we'll be -- if crop come back and whether we will do the lines which were traditionally very strong in a way which we used to be in the past .

V. Suryanarayanan: Clearly, see, the other aspect of the top line drop is also the conscious reduction in 2 -wheeler. You would have seen the percentage drop over a period from 19.6%, we have just come down to about 10.6%. And the quantum of 2 -wheeler vol ume reduction was at least over INR225 crores last year. Look, while that part of the 2 -wheeler portion may moderate to an extent further, but you are not going to see the similar level of drop. And you will see that we have been growing in the car side st eadily, continuously. And the commercial vehicle book is now is fairly stable at about 40% to 42% of the overall motor composition.

So I think there, we will continue to grow. Our market share, it's not that we have lost in the motor, it's still at about 5.25% despite the drop and conscious drop in 2 -wheelers. So that will continue to grow. And as a strategy, we -- our market share, if you have to look at the two

segments of OD and TP, our market share in the OD has been growing up and TP has been moderate d. In fact, we lost about 0.5% market share in TP and grew the motor OD market share to about 5.89%. So this is the tweak that is happening in the motor side.
And we also have plans to grow the commercial space. We have secured a good level of reinsurance capacity during the year with favorable terms. Of course, the underlying pricing component in the commercial side is not something that we would have liked. But from our position, from our smaller market share position, there is certainly scope to grow an d diversify our book on that front.

Sanketh Godha: Understood, sir. And sir, the second question is from ROE perspective. See, when we chose to slow down our TP -- sorry, 2 -wheeler business, our kind of a leverage, which used to be 6 plus -- 6.2% say, last year, it has dropped to 5.5%. On top of it, our combined also deteriorate, maybe there is a bit of conservatism there with respect to motor TP, but still it is higher compared to the last year.
So if we -- I'm just asking, if we choose not to do 2 -wheele rs or not to scale up the 2 -wheeler business, leverage remaining lower, then heavy lifting of improvement in the ROE will be driven more by combined ratio improvement. So just wanted to understand from that perspective, if leverage remains at 5.5%, honestl y, your combined on the IGAAP basis should go to closer to maybe 108%, 109% to deliver 16%, 17%. So just want to understand that part of it where the lever will come from in improvement in the core.
V. Suryanarayanan: See, actually, if you look at it, the current year in terms of the claims ratio, I should admit has been bad for us. More in the OD side. See, TP is something what we are doing prudently there and that reserving. It's not that there is a loss in cash flow. It is still -- the cash is still with us. It's only an accounting provision that we have made. But the OD is where -- while it has risen, as I mentioned in the opening remarks for everyone, ranging between 5% to 7%, for us the delta has been about 10%. So -- and that is an area of correction for us, which we have already commenced the necessary activities to bring down the loss ratio.
Over a period of last 2 to 3 months, we have seen about 7% to 8% improvement in the price realization for us, which gives us the confidence that over the next 6 months, we should start seeing the reduction in the motor OD loss ratio. So that, give

n the proportion, I also talked about
an increase in market share with respect to the OD side, that should help us in bringing the combined ratio back to a controllable level and to look at an ROE which is towards the 15%.
Sanketh Godha: Okay. Understood, sir. And lastly, on the long -term plans, just want to understand your strategy there incrementally, whether it will be a function of how EOM will change, maybe you've spoken about how the new regulations will come. Just want to understand a bit of there given we were very typically strong player in the long -term plans.
V. Suryanarayanan: See, in the long -term side, we continue to do the level of business that we were always doing, which is why you find that in the information deck that the premium received in advance position that we carry in the balance sheet in the non -motor side has onl y gone up. So I think as at March, we have something like about INR570 crores or so is what we are carrying, which has moved up from INR250 crores as at the previous March '25. So there, we continue to stay focused, notwithstanding the fact that we absorbe d the costs upfront. And we do not cede the long term on reinsurance. So there is some value that is getting built into the balance sheet, which is real.
Sanketh Godha: Understood, sir. And lastly, last one point is though we have taken forbearance, if we officially -- in FY '28 when you'll adopt officially IFRS, every player will do so. So whether there will be some -- a different approach to the reinsurance business or reinsurance ceding of the -- especially the retail line of businesses or long -term line of businesses so that the benefit what typically

every insurance company gets on reinsurance commissions inward with respect to the long -term plans might change in DAC accounting.
So just wanted to understand whether it will meaningfully change the reinsu rance strategy, especially on the retail lines. I understand that wholesale lines, it's more of our risk management. But from retail lines point of view, I just wanted to understand that piece.
V. Suryanarayanan: See, you should -- from the numbers, you wi ll understand that intrinsically, Chola MS is a company where retention levels are high. So our retail retention on a weighted basis would be

somewhere at about 78 plus. Even the overall, including the blended commercial and retail is at about 72. So it is at about 78 plus. And even when IFRS comes with DAC coming in on both the commission and the reinsurance commission side, my belief is that it will only benefit. The net position will only be a benefit.
Moderator: The next question comes from the line of Bunty Chawla from ASK.
Bunty Chawla: Thank you for giving me the opportunity. I have...
Moderator: Dear sir, we are not able to hear you clearly.
Bunty Chawla: One question. As you rightly said, next year, we will be moving towards IFRS. So if I take the current number of FY '26 on claims ratio as 81.2%. While going towards the IFRS, similar number -- what will be the similar number in IFRS accounting per se?
V. Suryanarayanan: Yes, I can only broadly give you an overview. So you will find that as a motor d ominant business, the provisioning that we have on the motor TP side is fairly large. And motor TP will have a discounting element as you move into IFRS. That will bring in a significant amount of benefit back into the P&L. Santosh, if you want to explain more, you can.
Santosh Pandey: While transitioning on the day 1, so entire liability, the present value will get calculated. On the day 1, there will be a big change in terms of the actual liability versus the future liability. So to that extent, it will b e first opening will go to the net worth of the company. And later on, whatever the new liability gets added, there the difference of the future value versus the present

value will
come to the P&L. So to that extent, the benefit to the P&L will come.
Bunty Chawla: If you can -- so you have guided for the ROE of around 15%, right? Our target is to achieve that. So can we say that next year, it is possible to achieve that ROE of 15% being beneficial, which we are getting from IFRS point of view?
V. Suryanaray anan: Yes. Just to clarify, we will be transitioning to IFRS from April '27. So '25, '26, yes, so we are not migrating to IFRS. I thought I made that clear.
Bunty Chawla: Okay. So it's in FY '28, right?
V. Suryanarayanan: Yes.

Bunty Chawla: Okay. That was very helpful. I have a confusion. And sir, on the expense ratio, what is -- as you rightly said, we have achieved the target in this -- how one should see this ratio going forward? It will remain stable or we should see a decline in this? How one shoul d see this pointer?
V. Suryanarayanan: I think the way one should look at it is even for a moment, assuming that the regulator doesn't bring in any change in the regulations from now, the 30% would be the norm, and there is no further glide path. The glide path came to an end with '25 -'26. Therefore, all players will have to necessarily will have to comply to this level certainly.
What this thing has helped us over the last 3 years is to do significant belt tightening, which has helped us reduce our opex proportion quite significantly. So I did say earlier in the opening remarks that we are amongst the top 3 in terms of the percentage at that level. I don't see any reason why that advantage will get frittered away in the next year or in the coming years. So that part of the efficiency that has been brought in is for real and for the future as well.
Of course, on the balance portion, which is the larger portion is certainly on the commission that we pay out to the intermediation. There, we would certainly lo ok forward to what the regulator is going to bring about in the expected change. And we can only say that any reduction that the regulator mandates can only benefit us from hereon.
Bunty Chawla: Okay. It will be positive for us if any regulation comes to the picture? Okay, sir.
Moderator: Your next question comes from the line of Rachna Kukreja from SiMPL.
Rachna Kukreja: I had one question on the solvency ratios. This year, it's on 1.96x earlier versus the historical levels of around -- in the range of 2x to 2.15x. So how should we read this? And what would be -- how should we read this? And how will we improve levels going forward?
V. Suryanarayanan: The solvency computation is a function of the premium growth as well as the claims growth. So this year, y ou would have seen that the claims growth is higher, some in terms of a claims ratio. Therefore, it has pulled in more capital. We're bringing the solvency level down from 2.18x to 1.96x as we discussed earlier.
So with the improvement in the claims ratio , it should again move back. Still, the company is profitable and it is adding. Shareholders have been considered not to take a dividend. So the money is getting flowed back into the business to support growth and solvency level. So it is -- it can only mo ve up from that level.
Rachna Kukreja: And if you could provide more color on the motor business with respect to the renewal and fresh business and how it performed in FY '26? And what is our strategy for the upcoming year?
V. Suryanarayanan: I move to, ye s, the Page 53 which is the motor piece. So the big picture, if you look at the motor is that we continue to have that -- we've been fairly steady in terms of the market share and being

amongst the top 5 private sector players in the motor business. And yo u will find that the cars is something that -- which has been going up from 35%, 39%, 42% and 49%. So that's the kind of proportion mix which is being there. We

will continue to stay focused on cars.

And over the years, we have also seen the growth in age ncy coming up. So now that a good base has been built up in the agency, the focus will now be on pushing up the renewal rate. More importantly, we are also -- as a key strategic initiative, very soon, we should be launching Chola Xceed an operating app for our sales personnel and channel partners. This app will help us build a very structured partner engagement and also do good performance management of not just our staff, but also the productivity levels across agents, and simplifying the transaction.
We feel that this app will put us on par with the new age companies in terms of the digital offerings that we can give to our channel partners. So I think that should also give a fillip to our renewal ratios. We know that efficiency in operations and operatin g digitally certainly gives a leg up in terms of renewals. We certainly hope to encash on that as well.
Rachna Kukreja: More on the motor underwriting business -- underwriting part, any strategy way ahead to reduce underwriting losses?
V. Suryanarayanan: See, it's obvious that the industry has seen the motor combined ratio levels inch up. It's a combination of the competitive intensity, the kind of pressures that are there in the motor OD side and the absence of any TP price revision coming into the market for almost 4 to 5 years, even though the inflation level, both in terms of minimum wages as well as the medical inflation is being there and is real.
We are seeing a minimum wage increase, which is there. And we are also likely to see a central minimum wa ge prescription by the government in the near future. So these can have an inflationary effect on the motor TP loss levels for the industry as such.
And while the industry has been clamoring for a two -way correction in the motor third -party pricing. One, rationalization reduction where required and increase where required. We've not been getting it, though I think multiple representations at company level, at industry level has happened both to the regulator as well as the ministry.
I think that is someth ing which we honestly look forward. And we are prudent in terms of our reserving, recognizing this. And as I mentioned in the opening remarks, operationally, we continue to be efficient in terms of our own compromise settlements or in tracking and monitori ng, pegging the severity inflation levels fairly to lower levels.
Rachna Kukreja: Do you think the motor portfolio requires a pricing restructure to improve our underwriting performance?
V. Suryanarayanan: Yes. Again, as I mentioned in the last 2 to 3 mont hs on the motor OD side, we have affected a pricing correction, whereby we are seeing somewhere about 7% to 8% improved pricing on the OD side, which should help us going forward in bringing down the motor OD loss ratios. TP, of course, it's a government d ecision. We would only wait and continue to persevere with both the regulator and the government in trying to achieve this.
Moderator: Your next question comes from the line of Ritika Dua from Bandhan.

Ritika Dua: Yes. Sir, just one question. Guidan ce on combined ratio would help? Thank you.
Rajive Kumaraswami: Ritika, sorry, this is Rajive Kumaraswami here. So I think as Suri had mentioned, we are on the commercial side of the business, seeing some amount of pricing pressure. So while it is more about ma naging line sizes at this point in time on the commercial business and increasing spread.
I think from an overall group perspective, we typically don't give guidance from a forward - looking perspective. But as I think the team has mentioned that the intent would be from a medium - to long -term perspective, maintain the 15% plus ROE guidan

ce.
So whatever it takes, whether it is managing float income or combined ratio, we will work towards getting to that objective. And things will need to evolve once we get a little more clarity on what the regulator does on EOM because if there is a reduction on the intermediation costs, what could potentially happen is that premiums may come down and which may reduce the float.
So we'll have to navigate things. So I would no t want to venture into giving any guidance on

what we would do on combined. But yes, we will endeavor to remain at the 15% plus ROE levels.
Moderator: As there are no further questions from the participants, I now hand the conference over to the management for closing comments.
Rajive Kumaraswami: Yes. Thank you all. And I'd like to wholeheartedly thank Suri for handing over a very solidly built foundation, and I endeavour to not only protect but to build further on that franchise and look forward to interacting with many of you in person and lookin g forward to more incisive questions and your guidance on how we can make our disclosures better. Thank you once again.
V. Suryanarayanan: Thank you.
Moderator: Thank you. On behalf of Cholamandalam Financial Holdings, that concludes this conference call. Thank you, everyone, for joining us, and you may now disconnect your lines.